CA SAB CAMPUS
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA

STUDENTS' RESEARCH COLLOQUIUM
SABSRC 2026

SAB STUDENTS'
5TH RESEARCH COLLOQUIUM

Balance & Beyond: Reimagining Business Through Data and Sustainability

SAB SRC 2026 – Book of Abstracts
30th October 2026

SAB Campus of CA Sri Lanka

SAB Students' 5th Research Colloquium

SAB SRC 2026 – Book of Abstracts

Balance & Beyond: Re-imagining Business through Data and Sustainability

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Message from the President of CA Sri Lanka



It gives me great pleasure to extend my warmest greetings to all participants of the 5th SAB Campus Students' Research Colloquium (SAB SRC 2026).

In an age of rapid disruption and data abundance, a profession is only as strong as the knowledge beneath it. Medicine advances through clinical research, engineering through experimentation, and law through rigorous scholarship. Accountancy is no different. As our role expands from reporting the past to guiding strategy, assurance and public trust, research must sit at the core of what we do, as it helps sharpen our judgement and equips us to meet challenges that no rulebook has yet anticipated.

This year's theme, "*Balance & Beyond: Re-imagining Business through Data and Sustainability*", reflects an important commitment to nurturing inquiry and critical thinking among future business leaders. Research is not merely an exercise; it is a powerful tool to analyse complex challenges, uncover opportunities and contribute meaningfully to organisational and societal progress.

It is especially encouraging that this culture is being cultivated at student level by SAB Campus of CA Sri Lanka. Young minds that learn early to question and evidence their ideas carry that discipline into boardrooms, practices and policy forums throughout their careers. This is a requirement we must continue to nurture, as a profession and as a community.

I warmly congratulate SAB Campus on hosting the colloquium for the fifth consecutive year. Such consistency reflects genuine commitment and a real passion for research.

I commend the organisers, researchers and all participants for their dedication, and I wish SAB SRC 2026 every success.

Tishan Subasinghe
President - CA Sri Lanka

Message from the Vice President of CA Sri Lanka



Numbers tell us what happened. Research tells us why, and what to do next. It is in that spirit that I welcome you to the Fifth SAB Campus Students' Research Colloquium (SAB SRC).

Every business decision today rests on a question: what does the evidence say? Data now shapes how organisations compete, how regulators respond and how investors judge value.

Yet data alone does not create insight. It takes people with the curiosity to probe it, the discipline to test it and the integrity to act on what it reveals.

That is what makes this year's theme, "*Balance & Beyond: Re-imagining Business through Data and Sustainability*", so fitting. Tomorrow's professionals will be asked to deliver profit and purpose together: to read the numbers, use resources responsibly, create sustainable value and consider the long-term consequences for people, communities and the planet. Balance is the skill, and going beyond is the ambition. Through initiatives such as SAB SRC, CA Sri Lanka reaffirms its commitment to research, ethical leadership and evidence-based decision-making among future accounting and business professionals.

SAB SRC gives future professionals a valuable opportunity to develop this balance between analytical rigour and broader responsibility. Here they present their ideas to peers and practitioners, defend their thinking under questioning and see their work through fresh eyes. These experiences build confidence and credibility—qualities no classroom lecture can teach alone.

My congratulations go to every student researcher who presented their work, and my appreciation to all those who contributed to the discussion. The curiosity and effort you bring to this platform are what make it worthwhile.

I wish you all a stimulating and rewarding SAB SRC 2026. May this experience encourage you to keep questioning assumptions, testing evidence and applying your research to the challenges that shape our future.

Anoji de Silva
Vice President - CA Sri Lanka

Message from the Chief Executive Officer



On behalf of CA Sri Lanka, I am delighted to welcome you to the 5th SAB Students' Research Colloquium.

Five editions on, the colloquium has grown into a meeting point for academia and industry, where students bring their findings, practitioners bring their experience, and both leave with sharper questions than they arrived with. It reflects our commitment at CA Sri Lanka to nurturing professionals who question, investigate and think for themselves.

This year's theme, "*Balance & Beyond: Re-imagining Business through Data and Sustainability"*, speaks to the two forces reshaping organisations today. Businesses are expected to create lasting value while making sense of vast amounts of data and rapidly changing technology. Research is how they find the evidence to do both well, and students who learn this early are better prepared for the workplaces they will join tomorrow.

The range of topics at this year's colloquium, spanning accounting, finance, governance, sustainability and digital transformation, shows students tackling real-world problems with rigour and imagination. That enthusiasm is what makes this event truly exceptional.

My sincere thanks go to the researchers, reviewers, mentors and organising committee whose dedication has made the colloquium possible.

I wish you all an engaging and rewarding colloquium.

Lakmali Priyangika
Chief Executive Officer - CA Sri Lanka

Message of the Keynote Speaker



It is with great pleasure that I extend my warmest congratulations to the organisers, academic staff, and student researchers on the 5th SAB Students' Research Colloquium 2026. I am particularly delighted and honoured to participate in this important academic event as the Keynote Speaker.

The theme, *"Balance and Beyond: Reimagining Business Through Data and Sustainability,"* is both timely and thought-provoking. In an increasingly interconnected and uncertain world, businesses face the challenge of balancing economic performance with environmental responsibility and social well-being. At the same time, rapid advancements in data analytics, artificial intelligence, and digital technologies are fundamentally transforming how organisations operate, compete, and create value.

The integration of data-driven decision-making with sustainability principles is no longer merely an option; it has become a strategic necessity. Future business leaders must possess not only analytical and technological competencies but also the ability to make responsible decisions that contribute to sustainable economic and social development.

Research plays a vital role in addressing these emerging challenges. Student research colloquia provide an invaluable platform for nurturing intellectual curiosity, developing critical thinking, and promoting evidence-based solutions to real-world business problems. Such initiatives also help cultivate a strong research culture among the next generation of academics, professionals, and business leaders.
I sincerely commend the organisers for their commitment to fostering research excellence and providing students with opportunities to share their scholarly contributions.

I encourage all participating students to approach research with curiosity, creativity, and a genuine commitment to making a meaningful difference.

Finally, I wish the 5th SAB Students' Research Colloquium 2026 every success and hope that it will inspire new ideas, fruitful academic discussions, and lasting contributions towards a more innovative, inclusive, and sustainable business future.

Dr. S. C. Thushara
Dean, Faculty of Commerce and Management Studies
University of Kelaniya, Sri Lanka.

Message of the Colloquium Chair



It is with great pleasure that I welcome you to the 5th SAB Students' Research Colloquium, SAB SRC 2026, and congratulate all who made it possible.

Accountants have always been trusted to record what has happened. Today, we are also expected to anticipate what lies ahead and to explain what it means for people and the planet. Our theme, *"Balance & Beyond: Reimagining Business Through Data and Sustainability,"* captures this shift, from reporting results to shaping decisions that endure.

Over five (5) years, this Colloquium has grown into a trusted platform where young researchers find their voice. What moves me most is the curiosity behind each paper: the willingness to ask a difficult question and stay with it until the evidence answers. This year's ten panels, from Financial Reporting and Analysis to Sustainability and ESG and Data Analytics and Digital Transformation, show how widely our students are looking. We are honoured to hear from our keynote speaker, Dr. S. C. Thushara, Dean of the Faculty of Commerce and Management Studies, University of Kelaniya.

I extend my sincere appreciation to the authors, co-chairs, co-secretaries, reviewers, session chairs and staff, and to the Institute of Chartered Accountants of Sri Lanka for its steadfast support.

To our student researchers: research asks for patience, honesty and courage. I encourage you to engage in lively discussion, build collaborations and carry these qualities into your careers.

I wish you all a thoughtful and inspiring Colloquium.

Emeritus Prof. Ariyarathna Jayamaha
Chair – SAB SRC 2026
Director
SAB Campus, CA Sri Lanka

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Panel I: Financial Reporting and Analysis

Barriers to the Implementation of Blockchain Technology in Financial Reporting and Auditing, Western Province of Sri Lanka

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Blockchain technology offers tamper-proof records and real-time verification that could improve financial reporting and auditing, yet its adoption among finance and audit professionals in Sri Lanka remains limited. Research on adoption barriers is concentrated in developed economies, leaving barriers in developing contexts empirically untested. This study examines whether technical, organisational and environmental factors, conceptualised through the Technology-Organisation-Environment (TOE) framework, are significant barriers to blockchain implementation in financial reporting and auditing in the Western Province. A quantitative, cross-sectional design was adopted, with primary data collected through a structured five-point Likert-scale questionnaire from 333 finance and audit professionals in CSE-listed companies and the Big Three audit firms. Data were analysed using descriptive statistics, exploratory factor analysis, Pearson correlation and multiple linear regression. All three factors were significant predictors of barriers to implementation, jointly explaining 49.8 percent of the variance in perceived barriers. Environmental factors, particularly regulatory uncertainty and infrastructural limitations, were the strongest predictor, followed by organisational factors, while technical factors had the weakest yet significant effect; all three hypotheses were supported. The findings extend the TOE framework to a South Asian developing-economy context. Closing the regulatory gap and strengthening organisational readiness, rather than further technological development, offer the most effective path to blockchain adoption in the sector.

Keywords: *Auditing, Barriers to implementation, Blockchain, Financial reporting, Technology-Organisation-Environment framework*

The Impact of SLFRS S1 and SLFRS S2 Adoption on Financial Reporting Quality in Public Listed Companies in Sri Lanka

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The adoption of sustainability and climate-related reporting standards has increased the need for consistent corporate disclosures, yet empirical evidence on SLFRS S1 and SLFRS S2 in Sri Lanka remains limited. This study examines the impact of SLFRS S1 and SLFRS S2 adoption on financial reporting quality among public listed companies in Sri Lanka. A quantitative approach based on positivist philosophy and deductive reasoning was adopted. Secondary data were collected from the annual and sustainability reports of the top 100 Colombo Stock Exchange-listed companies for 2024–2025. Adoption was measured using disclosure indices comprising 21 elements for SLFRS S1 and 33 elements for SLFRS S2, while financial reporting quality was measured using the Modified Jones Model, with firm size, leverage and return on assets as control variables. Descriptive statistics, correlation analysis and multiple regression analysis were conducted in STATA. The findings revealed relatively high adoption of both standards. Both adoption indices were significantly and positively correlated with financial reporting quality. However, neither standard had a statistically significant relationship with financial reporting quality after controlling for firm size, leverage and return on assets, although the overall regression model was statistically significant in explaining variations in financial reporting quality. The study provides early empirical evidence on SLFRS S1 and SLFRS S2 adoption in Sri Lanka and supports future sustainability reporting research.

Keywords: *Climate-related financial disclosures, Financial reporting quality, SLFRS S1; SLFRS S2, Sustainability reporting*

The Impact of Mergers and Acquisitions on the Financial Performance of Listed Companies in Sri Lanka

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Shareholders, boards and regulators pursue mergers and acquisitions (M&As) assuming that combined entities will outperform their individual parts. Despite a surge in M&A activity on the Colombo Stock Exchange (CSE), no prior accounting-ratio-based study has examined whether these transactions have improved the financial performance of Sri Lankan listed acquiring firms. This study addresses that gap as the first of its kind on the CSE. The completion of a merger or acquisition is the independent variable, and five ratios are the dependent variables: gross profit margin, net profit margin, return on equity, return on assets and debt-to-equity ratio. Following a positivist, deductive and quantitative archival methodology, seven CSE-listed companies that completed M&A transactions between 2015 and 2022 were selected from twelve agreements using established screening criteria. A paired two-sample t-test in Stata 17 compared three-year pre- and post-merger averages ($\alpha = 0.05$), with sector-specific measurement adjustments for two licensed finance companies. All five null hypotheses were retained. Gross profit margin, net profit margin and return on assets declined directionally, while return on equity and debt-to-equity showed marginal increases, but none was statistically significant. These findings align with South Asian and emerging-market M&A literature, supporting agency theory over synergy theory. The study concludes that M&A transactions have not significantly improved acquiring firms' financial performance, providing a baseline for future research, policymakers and investors.

Keywords: *Agency theory, Colombo Stock Exchange, Financial performance, Mergers and acquisitions, Synergy theory*

The Impact of Working Capital Management on Financial Performance: The Moderating Role of Intellectual Capital in Listed Manufacturing Companies in Sri Lanka

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This study examines the impact of working capital management (WCM) on the financial performance of manufacturing companies listed on the Colombo Stock Exchange (CSE) and the moderating role of intellectual capital (IC). Prior WCM–performance research is inconsistent, and the moderating influence of IC remains largely unexamined in Sri Lanka. A positivist, quantitative design was adopted, using panel data from the audited annual reports of 24 manufacturing companies over 2021–2025, yielding 120 firm-year observations. Financial performance was measured by return on assets (ROA) and return on equity (ROE); WCM by the cash conversion cycle (CCC), average collection period (ACP), inventory turnover period (ITO) and average payment period (APP); and IC by the Value-Added Intellectual Coefficient (VAIC), controlling for firm size, leverage and sales growth. Pooled ordinary least squares regression with heteroskedasticity-robust standard errors was used. All four working capital proxies were negatively and significantly associated with ROA and ROE, and IC significantly moderated these relationships. For CCC, ACP and ITO, higher IC buffered firms against the profitability penalty of a longer cycle, which disappeared in the top decile of IC efficiency, whereas high-IC firms bore a higher cost from delayed supplier payment. Findings were robust across alternative estimators, firm-clustered standard errors and year effects. The study extends the resource-based view by showing that intangible resources condition both firm performance and the returns to operational efficiency, with implications for financial managers, investors, analysts and regulators.

Keywords: *Cash conversion cycle, Colombo Stock Exchange, Financial performance, Intellectual capital, Working capital management*

The Effect of Digital Literacy on the Efficiency of Using ERP-Based Accounting Systems among Manufacturing SMEs in Western Province, Sri Lanka

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Enterprise Resource Planning (ERP) based accounting systems help manufacturing small and medium-sized enterprises (SMEs) improve efficiency, information quality and decision-making, yet empirical evidence on how employees' digital literacy shapes their efficiency in Sri Lanka remains limited. This study examines the effect of digital literacy, conceptualised through four DigComp 2.2 dimensions (information and data literacy, digital communication and collaboration, digital content creation and digital problem-solving skills), on the efficiency of ERP-based accounting systems among manufacturing SMEs in the Western Province. A positivist, deductive, cross-sectional survey was conducted with 362 ERP users from SMEs in Colombo, Gampaha and Kalutara, selected through purposive sampling and exceeding the required minimum of 341. Data were analysed using PLS-SEM in SmartPLS 4. Digital literacy explained 79.6 percent of the variance in ERP efficiency. Digital problem-solving skills ($\beta = 0.377$, $p < 0.001$), information and data literacy ($\beta = 0.355$, $p < 0.001$) and digital communication and collaboration ($\beta = 0.150$, $p = 0.015$) had significant positive effects, consistent with earlier studies stressing troubleshooting ability, data competence and people-oriented factors in ERP success. Digital content creation was positive but not significant ($\beta = 0.112$, $p = 0.069$), contrasting with prior SME research, possibly because of vendor-provided templates and high correlations among the dimensions. Digital literacy strongly drives ERP efficiency, with problem-solving and information skills mattering most; SME managers, ERP vendors and training institutions should therefore prioritise targeted training and user support in these skills.

Keywords: *Digital literacy, Enterprise resource planning, Manufacturing SMEs, PLS-SEM; Sri Lanka*

The Role of Business Intelligence on Financial Performance with Mediation Effect of Operations Efficiency in Banking Sector (with Special Reference to State and Non-State Banks in Sri Lanka)

Devakumara U D[1*] and Ranasinghe I[1]
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This study investigates the effect of business intelligence (BI) dimensions on the financial performance of state and non-state banks in Sri Lanka, with operational efficiency as a mediator. It is motivated by the rapid use of BI applications in banking and the absence of empirical literature on how BI generates financial value in developing countries. The study draws on the Resource-Based View, the Technology Acceptance Model and Dynamic Capabilities Theory, which together explain BI resources, technology acceptance and the conversion of capabilities into performance. A quantitative, positivist and deductive approach was adopted, and a survey collected data from 384 managers and professionals in state-owned and private banks. Data were analysed in SPSS using descriptive statistics, reliability and validity tests, correlation, multiple regression and Hayes PROCESS Macro Model 4. The BI dimensions (BI Team, BI Product, BI Process, BI Perception and BI Technology) significantly improved financial performance. Operational efficiency also had a significant positive effect on financial performance and mediated the relationship between BI and financial performance, indicating that BI creates financial value mainly through improved operational efficiency. The study contributes to knowledge by integrating three theories, examining BI as a multi-dimensional construct and empirically validating these relationships in the Sri Lankan banking industry.

Keywords: *Banking sector, Business intelligence, Financial performance, Mediation, Operational efficiency*

Technology Acceptance and Social Cognitive Determinants of Intention to Use Accounting Data Analytics Tools among Final-Year Accounting Undergraduates in Sri Lanka

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Accounting data analytics (ADA) tools are gaining importance in professional practice, yet little is known about the factors determining future accountants' intention to use them in Sri Lanka. This study examined the effect of perceived usefulness, perceived ease of use, perceived challenges and ADA self-efficacy on the behavioural intention of final-year accounting undergraduates in the Western Province to use ADA tools, based on an extended Technology Acceptance Model and Social Cognitive Theory. A positivist, deductive, cross-sectional design was adopted. A structured online questionnaire yielded 285 usable responses from five institutions, meeting the sample size recommended by the Krejcie and Morgan table. Data were analysed in Stata using reliability analysis, factor analysis and regression analysis with robust standard errors. All scales were reliable (Cronbach's alpha 0.844–0.926), and the model explained 49.2 percent of the variance in behavioural intention. ADA self-efficacy ($\beta = 0.435$, $p < 0.001$) and perceived usefulness ($\beta = 0.304$, $p < 0.001$) were the positive predictors, accounting for the effects observed in the bivariate correlations. The usefulness finding corroborates a study of Kuwaiti accounting students, whereas the findings on ease of use and challenges are contradictory, possibly because of the close relationship between ease of use and self-efficacy. Intention is therefore influenced more by perceived ability to use the tools than by the obstacles user's encounter.

Keywords: *Accounting data analytics, Behavioural intention, Perceived usefulness, Self-efficacy, Technology acceptance model*

Cloud ERP Systems, Intelligent Analytics and Corporate Decision Efficiency: The Mediating Role of User AI Literacy in Listed Sri Lankan Conglomerates

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Cloud Enterprise Resource Planning (ERP) systems and intelligent analytics are increasingly adopted to improve information processing and decision making, yet empirical evidence on how they enhance corporate decision efficiency remains limited, particularly in relation to employees' ability to understand and use AI-enabled technologies in listed Sri Lankan conglomerates. This study examines the impact of Cloud ERP systems and intelligent analytics on corporate decision efficiency, with User AI Literacy as a mediating variable. A quantitative approach was adopted, and data were collected through a structured questionnaire from employees and professionals of listed Sri Lankan conglomerates with knowledge or experience of Cloud ERP systems, intelligent analytics and AI-enabled decision making. Reliability and validity tests, correlation analysis, multiple linear regression and mediation analysis were used to test the hypotheses. Cloud ERP systems had no statistically significant direct effect on corporate decision efficiency, whereas intelligent analytics had a positive and significant effect. User AI Literacy significantly mediated the relationships of both with corporate decision efficiency. These findings indicate that technology adoption alone does not guarantee better decisions, as benefits depend on employees' capability to interpret and apply AI-driven outputs, consistent with the view that human capability is central to realising value from digital technologies. Organisations should therefore invest in Cloud ERP systems and intelligent analytics while strengthening employees' AI literacy.

Keywords: *Cloud ERP systems, Corporate decision efficiency, Intelligent analytics, Listed Sri Lankan conglomerates, User AI literacy*

Panel II: Fraud and Forensic Accounting

Impact of Forensic Accounting Techniques on Fraud Detection in the Sri Lankan Audit Sector: The Moderating Role of Fraud Risk Management

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Financial statement fraud remains a significant challenge for Sri Lankan auditors, particularly due to complex transactions and digital systems that enable intentional misstatements. This study examines the impact of forensic accounting techniques on fraud detection, the moderating effect of fraud risk management and the current state of fraud risk management in Sri Lanka's audit profession. Guided by Fraud Diamond Theory, the study highlights the importance of integrating forensic expertise with organisational governance. A quantitative, positivist, deductive, and cross-sectional survey approach was adopted. Purposive sampling was used to collect data from 170 audit professionals through a structured questionnaire. Data were analysed using IBM SPSS through reliability analysis, descriptive statistics, Pearson correlation, multiple regression and moderation analysis. The results revealed a strong positive correlation between forensic accounting techniques and fraud detection ($r = .733$, $p < .01$). Forensic accounting techniques significantly predicted fraud detection ($\beta = .554$, $p < .001$), while fraud risk management also demonstrated a significant positive association ($\beta = .376$, $p < .001$). The interaction effect was significant ($\beta = .123$, $p = .007$), confirming the moderating effect of fraud risk management. Together, the predictors explained 66.7% of the variance in fraud detection. These findings align with previous research emphasising the complementary roles of forensic investigation and governance in addressing fraud. The study concludes that effective fraud risk management strengthens the relationship between forensic accounting techniques and fraud detection. However, audit firms should enhance forensic knowledge, internal controls, whistleblower systems and governance to detect fraud in the audit profession.

Keywords: *Forensic Accounting Techniques; Fraud Detection; Fraud Diamond Theory; Fraud Risk Management; Sri Lankan Audit Sector*

Impact of Internal Control Effectiveness on Fraud Detection: Evidence from Commercial Banks in Sri Lanka

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Fraud threatens banks, which safeguard public funds, yet evidence on how individual internal control components influence fraud detection in Sri Lankan commercial banks is limited. This study examines the effect of internal control effectiveness, measured through the five COSO components, on fraud detection. A positivist, deductive, quantitative design was adopted, with hypotheses derived from the COSO framework and agency theory. A cross-sectional survey using a structured five-point Likert questionnaire and convenience sampling yielded 148 valid responses from employees of 23 commercial banks. Data were analyzed in Stata using reliability and validity tests, correlation and multiple regression with robust standard errors; multicollinearity was checked using. The model was significant, with an R^2 of 0.7529 (75.29% of the variation in fraud detection). Control activities ($\beta = 0.699$) and monitoring activities ($\beta = 0.491$) had significant positive effects. The former agrees with earlier Sri Lankan NGO evidence, whereas the latter contrasts with an insignificant result there, which may suggest that monitoring matters more in banks with formal audit functions. Control environment showed a significant negative adjusted effect ($\beta = -0.218$) despite a positive bivariate relationship, which may reflect shared variance among components and should be interpreted cautiously. Risk assessment and information and communication were insignificant. The findings suggest that components contribute unequally and that fraud detection may depend more on how controls are implemented, monitored and followed up than on formal policies. Banks and regulators may prioritize operational controls, internal audit support and timely corrective action. Convenience sampling, cross-sectional data and employee perceptions limit generalizability and causal inference.

Keywords: *Commercial Banks, COSO Framework, Fraud Detection, Internal Control, Sri Lanka*

Impact of Forensic Accounting Techniques on Corporate Fraud Detection Effectiveness: Evidence from External Auditors in Sri Lanka

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Corporate fraud continues to rise despite internal controls and external audits, and traditional audit procedures often fail to detect complex schemes. Evidence on the effectiveness of forensic accounting techniques from the perspective of senior external auditors in Sri Lanka is limited. This study examines the impact of data analytics techniques, fraud risk assessment and investigative techniques on corporate fraud detection effectiveness, to guide audit firms in selecting effective tools. A structured questionnaire was administered to 109 external auditors at assistant manager level and above, selected through purposive sampling to ensure relevant forensic and fraud detection experience. Reliability, validity, descriptive, correlation and regression assumption tests were conducted, followed by multiple regression analysis using Stata. The model was significant ($F(3,105) = 10.11$, $p < 0.001$) and explained 22.4% of the variation in fraud detection effectiveness. Data analytics techniques ($\beta = 0.340$, $p < 0.001$) and fraud risk assessment ($\beta = 0.215$, $p = 0.023$) had significant positive effects, consistent with previous studies. Investigative techniques had no significant effect ($\beta = 0.027$, $p = 0.770$), possibly because external audits provide reasonable assurance and investigation is mostly applied after red flags appear. The study concludes that data analytics and fraud risk assessment are the key techniques for improving fraud detection. Audit firms should therefore invest in analytics tools, training and continuous fraud risk assessment.

Keywords: *Corporate Fraud Detection, Data Analytics, Forensic Accounting, Fraud Risk Assessment, Investigative Techniques*

The Role of Financial Crime Detection Mechanisms in Commercial Banks in Sri Lanka

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Financial crime creates substantial regulatory, operational and reputational risks for commercial banks, yet prior studies have generally examined detection mechanisms separately and provided limited evidence on their collective role in Sri Lanka. This study therefore examined how financial crime detection mechanisms are disclosed and integrated within five selected Sri Lankan commercial banks. An interpretivist, qualitative document-analysis design was adopted. Using purposive sampling, the banks' 2025 annual reports were analyzed through NVivo-supported thematic analysis, an appropriate method for systematically interpreting recurring patterns in documentary disclosures. Seven interconnected themes emerged: AML/CFT controls; Know Your Customer and Customer Due Diligence; transaction monitoring; whistleblowing; internal audit, compliance and governance; employee training and awareness; and technology and digital innovations. AML/CFT and KYC/CDD provided the regulatory and customer-information foundation; transaction monitoring and whistleblowing supported detection and escalation; internal audit, compliance and governance provided assurance; while training and technology strengthened implementation, verification, fraud detection and cybersecurity. The depth and emphasis of disclosures differed among banks. These findings support prior mechanism-specific research but extend it by showing how the disclosed mechanisms operate as an interdependent institutional framework within Sri Lankan commercial banks. The study concludes that financial crime detection is an integrated process rather than the outcome of a single control and contributes context-specific evidence to the limited Sri Lankan literature. Banks should strengthen coordination among controls, employee capability, trusted reporting channels, technology supported by human judgement and board-level oversight; however, the findings reflect public disclosures rather than confidential operating effectiveness.

Keywords: *AML/CFT, Commercial Banks, Financial Crime Detection, Sri Lanka, Transaction Monitoring*

Panel III: Ethics, Governance and Risk Management

Determinants of Workers' Remittances in Sri Lanka: a Pre and Post 2022 Economic Crisis Comparative Analysis

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Workers' remittances are a vital source of non-debt-creating foreign exchange for Sri Lanka, but few studies have asked whether their macroeconomic determinants hold steady during a crisis. This study identifies the pre-crisis determinants, examines how they changed after the 2022 economic crisis, and tests for a structural break in April 2022. Using monthly secondary data from January 2015 to February 2026, we applied Augmented Dickey–Fuller tests, a crisis-interaction regression with Newey–West HAC standard errors, and Chow and HAC-robust joint tests, with COVID-19 controlled for. Before the crisis, exchange-rate depreciation, the domestic interest-rate differential and migrant departures all had significant positive effects on recorded remittance inflows. After April 2022, the exchange-rate relationship reversed, moving from positive to significantly negative (coefficients of 2.18 and −0.63, respectively), and the interest-rate effect, previously significant, disappeared. Migrant departures stayed significantly positive in both periods. The HAC-robust joint test gave strong evidence of a structural break ($F(7,118) = 13.72$, $p < 0.001$). Earlier Sri Lankan studies reported positive exchange-rate and interest-rate associations before the crisis, but our findings show that such relationships may not survive severe economic instability. The exchange-rate reversal fits with changing wealth and substitution incentives and possible shifts between formal and informal channels, although we did not test these mechanisms directly. The results point towards policies that build exchange-rate credibility, strengthen the competitiveness of formal remittance channels and support safe labour migration, rather than relying mainly on depreciation or higher deposit rates to attract inflows.

Keywords: Economic Crisis, Exchange Rate, Migrant Departures, Structural Break, Workers' Remittances

The Impact of Financial Management Practices on the Financial Performance of Commercial Banks in Sri Lanka: The Moderating Role of Corporate Governance

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This research investigated the effect of financial management practices on the financial performance of commercial banks in Sri Lanka with a special focus on the moderating role of corporate governance. As it was observed there are different levels of financial performance in commercial banks the study was conducted to determine whether financial management practices were responsible for the variation in the profitability of commercial banks. Financial Management Practices, specifically Liquidity Coverage Ratio (LCR) and Capital Adequacy Ratio (CAR), were used as the independent variables while Return on Assets (ROA) was used as the dependent variable in the research. A quantitative research methodology was used where the secondary panel data were derived from the annual reports of selected commercial banks in Sri Lanka for ten consecutive years from 2016 to 2025. The required data for the study were collected mainly from the statements of financial position and statements of comprehensive income along with corporate governance-related disclosures in the annual reports. Descriptive analysis and correlation were performed to study the characteristics and relationship of the study variables, whereas panel regression analysis was used to study the effect of the variables. From the results obtained, it was found that there is no statistically significant direct effect of LCR on ROA (β =0.0004, P = 0.376). On the other hand, it was established that there is a statistically positive effect of CAR on ROA (β = 0.0435, P=0.010). From the results obtained, it was established that Corporate Governance does not significantly moderate the relationship between LCR and ROA ((β = 0.0023, P = 0.442). The findings suggest that CBSL should emphasize strong capital adequacy requirements under Basel III. The manager should strengthen capital reserves to improve financial stability.

Keywords: *Commercial Banks, Corporate Governance, Financial Management Practices, Financial Performance*

The Moderating Effect of Intellectual Capital on the Relationship between Corporate Governance and Financial Performance, Evidence from Non-Financial Listed Companies in Sri Lanka

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This study explores the interrelationships among corporate governance, intellectual capital, and financial performance in non-financial firms listed on the Colombo Stock Exchange, with special emphasis on addressing the existing gap concerning the knowledge-based assets shape governance effectiveness. The study analysed samples of these companies through panel regression and using the Value-Added Intellectual Coefficient to measure intellectual capital. Therein, the research investigates whether this capital moderates the link between governance structures, such as board size, independence, CEO duality, and audit frequency, and financial outcomes. The findings reveal that intellectual capital significantly moderates the relationship between board independence, CEO duality, and Return on Assets, suggesting that firms with higher efficiency in these areas gain more value from strong governance. While this moderating effect does not hold across all metrics like Return on Equity or Tobin's Q, the study provides important evidence that intellectual capital acts as a strategic amplifier for corporate governance in emerging markets, challenging the outdated view that governance frameworks operate in isolation from a firm's internal knowledge resources.

Keywords: *Colombo Stock Exchange, Corporate Governance, Financial Performance, Intellectual Capital, Non-financial Listed Companies, Sri Lanka*

The Impact of Sustainability Reporting on Corporate Financial Performance with the Moderating Effect of Corporate Governance: Evidence from the Banking Sector of Sri Lanka

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Sustainability reporting is increasingly expected of banks, yet evidence on whether it improves financial performance remains inconclusive, and few studies examine the role of corporate governance, particularly in Sri Lanka. This study examines the impact of sustainability reporting on corporate financial performance and the moderating effect of corporate governance in Sri Lankan banks. A positivist, deductive and quantitative longitudinal design suited to testing established theory was adopted. A census covered all thirteen domestic licensed commercial banks from 2016 to 2025, yielding 130 bank-year observations from audited reports. ESG disclosure was measured through GRI G4 content analysis, corporate governance through a five-attribute board index, and performance through return on assets (ROA) and return on equity (ROE). Pearson correlation analysis and random effects panel regression, selected through Hausman tests, were used. Correlations showed weak positive relationships between ESG disclosure, governance and performance, while regression showed positive but insignificant impacts of ESG disclosure and governance on ROA and ROE. This aligns with studies reporting mixed outcomes but contrasts with research finding clear performance gains, possibly because disclosure may not reflect actual practice. However, the interaction between ESG disclosure and corporate governance had a significant positive impact on ROA ($p = 0.034$) and ROE ($p = 0.039$), consistent with studies showing governance strengthens the sustainability performance link. The study concludes that sustainability reporting improves bank performance only when supported by strong governance. Banks should strengthen board-level sustainability oversight rather than expand disclosure alone, and regulators should link ESG reporting rules to governance requirements.

Keywords: *Corporate Governance, ESG Disclosure, Financial Performance, Moderating Effect, Sustainability Reporting*

The Role of FinTech Automation in Corporate Cash Flow Management: Evidence from Finance Companies in the Western Province of Sri Lanka

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Despite growing investment in Financial Technology (FinTech) automation, little empirical evidence shows whether it improves corporate cash flow management in Sri Lankan finance companies. This study examined the relationship and impact of four automation dimensions, automated billing and invoicing, predictive behavioral reminders, AI-enabled cash reconciliation, and internal ledger and transaction controls, on cash flow management in finance companies in the Western Province, and proposed recommendations. A positivist, deductive, quantitative cross-sectional survey was adopted to test measurable relationships. A five-point Likert-scale questionnaire was administered to a stratified random sample of 233 employees of leading finance companies, and the data were analysed in SPSS using reliability, correlation, regression and ANOVA. The instrument was highly reliable (Cronbach's alpha = .978), and all four dimensions correlated strongly with cash flow management ($r = .820$ to $.874$, $p < .001$). The combined model explained 79.4 percent of its variance ($R^2 = .794$), with internal ledger and transaction controls ($\beta = .469$) and automated billing and invoicing ($\beta = .317$) as significant unique predictors. The other two dimensions lost unique significance owing to multicollinearity, suggesting that automation works as an integrated capability. These findings agree with earlier studies linking automation to accurate financial records and shorter receivable cycles, while providing the direct test of cash flow outcomes that those studies lacked. The study concludes that FinTech automation is a significant determinant of cash flow management. Managers should prioritise integrated automation, especially ledger controls and billing, supported by staff training, while regulators may encourage digital control infrastructure.

Keywords: *Cash Flow Management, Finance Companies, FinTech Automation, Sri Lanka, Working Capital Management*

Impact of Macroeconomic Factors Affecting Foreign Institutional Investment in The Colombo Stock Exchange

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This study looks at how selected macroeconomic factors relate to Foreign Institutional Investment (FII) in the Colombo Stock Exchange (CSE) in Sri Lanka between 2012 and 2025. FII supports liquidity and investor participation in emerging markets, but flows into the CSE have swung widely, making domestic drivers worth examining. It covers economic growth, inflation, the exchange rate and stock market performance, measured by quarterly changes in the All-Share Price Index (ASPI). Using a quantitative longitudinal design, we analysed 56 quarterly observations from the CSE, the Central Bank of Sri Lanka and the Central Depository System. Methods included descriptive statistics, Pearson correlation, multiple regression, the Augmented Dickey–Fuller test, an Autoregressive Distributed Lag (ARDL) model and the Pesaran–Shin–Smith bounds test, run in SPSS and Stata. The ARDL model was significant (adjusted $R^2 = 0.7469$), and the bounds test ($F = 6.307$) pointed to a long-run relationship between FII and the explanatory variables. Economic growth had significant positive effects at the first and fourth lags. Inflation was significant across the first three lags, with alternating signs, suggesting its effects build over time. The current-period exchange-rate coefficient was not significant, and the ASPI coefficient narrowly missed significance at the 5% level ($p = 0.054$). FII is persistent, and timing matters when reading investment flows. The results fit with emerging-market research, though each relationship varies by variable and lag. Policymakers and market institutions should weigh the longer-term effects of macroeconomic conditions when building investor confidence and a more predictable investment environment in Sri Lanka.

Keywords: *Colombo Stock Exchange, Economic Growth, Exchange Rate, Foreign Institutional Investment, Inflation*

Evaluating the Adapted Opening Range Breakout (AORB) Strategy Across Selected Financial Assets: Evidence from the London–New York Overlap Session

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This study examines the comparative performance of a standardized Adapted Opening Range Breakout (AORB) strategy across BTCUSD, EURUSD, XAUUSD and XTIUSD during the London–New York overlap session. The study uses the historical market data and a consistent AORB trading framework, the study evaluates performance through six measures: Net Profit, Profit Factor, Win Rate, Maximum Drawdown, Sharpe Ratio and Recovery Factor The analysis used descriptive statistics, one-way ANOVA, and Tukey's HSD post-hoc tests to compare the performance of AORB among the selected four financial assets. The results show statistically significant differences in Net Profit, Profit Factor, Win Rate, Sharpe Ratio and Recovery Factor ($p < 0.001$), while Maximum Drawdown did not show a statistically significant difference ($p = 0.2478$). Among the selected assets, XAUUSD demonstrated the strongest profitability, recording the highest mean Net Profit of 156.10, while BTCUSD demonstrated particularly strong trading consistency and risk-adjusted performance, with the highest mean Win Rate of 94.43%, Sharpe Ratio of 164.53 and Recovery Factor of 58.65. In contrast, XTIUSD recorded a negative mean Net Profit of -8.47 and the lowest mean Win Rate and Sharpe Ratio, showing historically weaker performance under the tested AORB conditions. Overall, the findings show that the standardized AORB strategy does not perform uniformly across financial assets, highlighting the importance of asset selection when applying systematic breakout strategies.

Keywords: *AORB, Algorithmic Trading, London–New York Overlap, Expert Advisor, Stata, Trading Performance*

The Impact of Financial Literacy on Cryptocurrency Adoption Behaviour among Accounting and Finance Undergraduates in Colombo District, Sri Lanka: The Moderating Effect of Financial Risk Tolerance

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The growing use of cryptocurrency among young adults highlights the need to understand the financial factors influencing its adoption. However, limited evidence exists on how different dimensions of financial literacy influence cryptocurrency adoption behaviour among Accounting and Finance undergraduates in Sri Lanka. Therefore, this study examined the impact of Financial Literacy on Cryptocurrency Adoption Behaviour among Accounting and Finance undergraduates in Colombo District, Sri Lanka, and assessed the moderating effect of Financial Risk Tolerance. A quantitative, cross-sectional research design was adopted. Primary data were collected through a structured questionnaire from 392 Accounting and Finance undergraduates in state and non-state higher education institutions in the Colombo District. The data were analysed using descriptive statistics, reliability analysis, Pearson's correlation, robust multiple regression and interaction-term moderation analysis. The findings showed that Financial Knowledge, Digital Financial Literacy, and Financial Attitude significantly and positively influenced Cryptocurrency Adoption Behaviour, with the model explaining 53.43% of its variation. Financial Attitude had the strongest effect among the three dimensions. Although Financial Risk Tolerance had a significant positive direct relationship with Cryptocurrency Adoption Behaviour, its interaction with Financial Literacy was not significant ($\beta = -0.0244$, $p = 0.714$). Therefore, Financial Risk Tolerance did not significantly moderate the relationship. The study concludes that strengthening financial literacy and responsible financial decision-making may support more informed cryptocurrency-related behaviour among undergraduates. Higher education institutions should therefore incorporate digital financial and cryptocurrency-related risk awareness into financial education programmes.

Keywords: *Cryptocurrency Adoption Behaviour, Digital Financial Literacy, Financial Attitude, Financial Knowledge, Financial Risk Tolerance*

Panel IV: Audit, Assurance and Taxation

The Impact of Fairness and Transparency of the Tax System on Individual Tax Compliance Behaviour: The Moderating Role of Tax Awareness and Tax Knowledge among Sri Lankan Taxpayers

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Taxation is a primary mechanism through which governments mobilise revenue for public services and development. Individual tax compliance behaviour is therefore important for the effectiveness, equity, and sustainability of the tax system in Sri Lanka. This study investigated the impact of fairness and transparency of the tax system on individual tax compliance behaviour among individual taxpayers in Sri Lanka. It also examined the moderating impacts of tax awareness and tax knowledge on the relationship between fairness and transparency of the tax system and individual tax compliance behaviour. The study adopted a positivist, deductive, quantitative, and cross-sectional research design. Primary data were collected through a structured questionnaire from 384 purposively selected individual taxpayers. The data were analysed using descriptive statistics, Cronbach's alpha reliability analysis, exploratory factor analysis, Pearson correlation analysis, and regression-based moderation analysis in Stata. Heteroscedasticity-robust standard errors were used for regression inference. The findings showed that fairness and transparency of the tax system had a positive and statistically significant impact on individual tax compliance behaviour. Tax awareness and tax knowledge also had statistically significant positive direct impacts on individual tax compliance behaviour. However, tax awareness and tax knowledge did not have statistically significant moderating impacts on the relationship between fairness and transparency of the tax system and individual tax compliance behaviour. The findings suggest that fair and transparent tax administration, taxpayer awareness, and taxpayer knowledge should be strengthened as complementary components of a voluntary tax-compliance strategy.

Keywords: *Fairness and Transparency of the Tax System, Individual Tax Compliance Behaviour, Individual Taxpayers, Sri Lanka, Tax Awareness, Tax Knowledge*

Application of International Auditing Standards in Maintaining Audit Quality in Small and Medium Enterprises in Sri Lanka

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Small and Medium Enterprises (SMEs) contribute significantly to Sri Lanka's economy, yet maintaining audit quality in them is difficult because of limited resources, weak internal controls and inconsistent enforcement. Sri Lanka Auditing Standards (SLAuSs), based on International Standards on Auditing, safeguard audit quality, but empirical evidence on how individual standards perform in SMEs is scarce. This study examines how SLAuS 330, 500, 550, 570 and 700 influence audit quality in Sri Lankan SMEs, drawing on Agency Theory and the Resource-Based View. A positivist, deductive, quantitative design was adopted to permit objective hypothesis testing. A structured five-point Likert questionnaire was administered to 102 practising auditors, purposively selected from Small, Medium and Large/International firms to capture differences in resources. Data were analyzed using reliability and factor analysis, descriptive statistics and multiple regression. The findings reveal that SLAuS 500 and SLAuS 700 have a statistically significant impact on audit quality, whereas SLAuS 330, SLAuS 550, and SLAuS 570 do not show statistically significant impacts. This agrees with international evidence that adopting auditing standards improves audit quality, but suggests that the impact of individual auditing standards may be more evident at the financial reporting stage than in certain earlier audit procedures. Auditors also strongly agreed that the standards need adjustment for SMEs (mean = 4.45/5), most strongly in small firms, consistent with resource-constraint arguments The study concludes that uniformly applied SLAuSs alone cannot fully maintain audit quality in SMEs. SME-specific proportionate guidance, targeted training for small firms and stronger SME record-keeping are recommended.

Keywords: *Audit Quality, Financial Reporting, International Standards on Auditing, SMEs, Sri Lanka Auditing Standards*

The Impact of OECD Pillar Two on Corporate Tax Transparency of Consumer Goods Multinational Enterprises Operating in Emerging Asian Economies

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The implementation of OECD Pillar Two has reshaped the international corporate taxation landscape, drawing greater attention to corporate tax transparency among multinational enterprises (MNEs). This study analyzes the impact of OECD Pillar Two Implementation on Corporate Tax Transparency among consumer goods MNEs operating in emerging Asian economies in the years 2021-2025. Based on Tax Competition Theory, Legitimacy Theory, and the Global Regulatory Governance perspective, the study adopts a positivist philosophy and deductive approach. Secondary data were collected from annual reports, sustainability reports, standalone tax transparency reports, corporate filings and official regulatory publications. A purposive sample of 26 large consumer goods MNEs operating in India, Indonesia, Malaysia, Thailand, Vietnam, the Philippines and Sri Lanka were selected for 130 firm-year observations. Data were analyzed using descriptive statistics, Pearson and Spearman correlation analysis, fixed-effects and random-effects panel regression, trend analysis and comparison. The PTIEI was found to be positive but statistically insignificant ($\beta = 2.101$, $p = 0.231$). PTIEI increased from 0.00 in 2021 to 2.04 in 2025 while CTTI fluctuated from 20.81% to 30.54%. D4 was the most disclosed (35.19%) and D5 was the least (5.90%) Corporate Tax disclosures. The findings suggest that increased Pillar Two exposure was not significantly associated with corporate tax transparency during the study period. The study recommends integrating explicit tax disclosure requirements into Pillar Two implementation and strengthening administrative and digital capacities. Future research could extend the analysis beyond 2025 and include additional industries and emerging economies.

Keywords: *Corporate Tax Transparency; Emerging Asian Economies; Global Minimum Tax; Multinational Enterprises; OECD Pillar Two*

The Impact of Modified Audit Opinion on Market Performance: Evidence from Listed Companies in Sri Lanka

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This study examines how modified audit opinions and going-concern-related warnings influence the market performance of companies listed on the Colombo Stock Exchange (CSE) during 2021–2025. With mixed findings in previous research and limited recent evidence from Sri Lanka, the study explores whether investors respond to audit-report warnings, particularly in a period affected by the COVID-19 pandemic and Sri Lanka's economic crisis. Unlike earlier local studies focusing mainly on qualified opinions, this research also considers adverse opinions, disclaimers and going-concern-related warnings. A quantitative event-study approach was used, with 29 usable company-year observations selected from 41 identified events. Expected share returns were estimated using the market model and the All Share Price Index (ASPI), based on a 60-trading-day estimation period. Abnormal returns were examined over nine trading days (T−4 to T+4). One-sample t-tests and Wilcoxon signed-rank tests were applied to assess the significance of daily and cumulative abnormal returns. The findings reveal a mixed market response. A significant positive average abnormal return of 2.66% was recorded at T+2 ($p = 0.030$), while the Wilcoxon tests identified significant daily reactions from T0 to T+3. However, none of the cumulative abnormal return windows were statistically significant. These findings suggest that audit-report warnings may influence investor behaviour on particular trading days, but do not produce a consistent or sustained market reaction. The study provides updated evidence on how Sri Lankan investors respond to audit-report information during a period of economic uncertainty.

Keywords: *Abnormal Returns, Colombo Stock Exchange, Event Study, Going Concern, Modified Audit Opinions*

The Impact of Audit Firm Characteristics on Financial Misstatement Detection in Sri Lankan Listed Companies

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Engaging a large international audit firm is widely treated in Sri Lanka as evidence of superior audit quality, yet misstatements continue to surface among listed companies. Evidence on audit firm characteristics comes largely from developed economies, and prior Sri Lankan studies have examined accrual-based proxies or auditor choice rather than observable detection outcomes. This study addresses that gap by examining the impact of audit firm size, audit tenure, industry specialization, and audit fees on financial misstatement detection, grounded in Agency Theory and Audit Quality Theory. A quantitative archival design was adopted, using a balanced panel of 100 firm-year observations from 20 non-financial Colombo Stock Exchange companies from 2020 to 2024, measuring detection as a modified audit opinion or a comparative restatement. Given rare detection events, Firth penalised logistic regression was employed, supported by panel estimators and robustness checks. The model is jointly significant ($p = 0.027$) and discriminates well (AUC = 0.849), and all four hypotheses were supported. Contrary to expectations, audit firm size was the most consistent predictor, but negatively: detection occurred in 33.3 per cent of non-Big Three firm-years against 3.3 per cent of Big Three firm-years. Audit tenure was negatively associated with detection, suggesting a fresh-eyes effect early in engagements; industry specialization was negative but absorbed by firm size; and audit fees were positively associated, consistent with risk pricing. These findings challenge reliance on Big Three affiliation as a proxy for audit quality and support mandatory disclosure of auditor appointment years and firm-level quality management outcomes.

Keywords: *Audit Fees, Audit Firm Size, Audit Tenure, Financial Misstatement Detection, Industry Specialization, Sri Lanka*

The Relationship between Job Stressors and Audit Quality Reduction Behavior among Entry-Level Audit Professionals in Sri Lanka

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This study investigates the mediating role of psychological distress in the relationship between job stressors and audit quality reduction behavior among entry-level audit professionals in Sri Lanka. Audit quality reduction behavior is a significant concern in the auditing profession, as it may reduce the effectiveness of audit procedures and undermine stakeholders' confidence in financial reporting. Entry-level auditors face occupational challenges, including demanding workloads, strict deadlines, unclear job responsibilities, and organizational expectations. A quantitative research approach was adopted, and primary data was collected through a structured questionnaire. A total of 193 valid responses were obtained from entry-level audit professionals in Sri Lanka. The study examined time pressure, work–family conflict, role ambiguity, and salary satisfaction as independent variables, psychological distress as the mediating variable, and audit quality reduction behavior as the dependent variable. Regression analysis was conducted to examine the direct effects of the selected variables, while the Sobel test was used to assess the mediating effect of psychological distress. The findings indicate that role ambiguity and psychological distress have significant positive effects on audit quality reduction behavior. However, time pressure, work–family conflict, and salary satisfaction do not demonstrate statistically significant direct effects. Furthermore, psychological distress does not significantly mediate the relationships between the selected job stressors and audit quality reduction behavior. These findings highlight the importance of role clarity, effective communication, appropriate supervision, and psychological well-being in maintaining audit quality. Despite its cross-sectional design, the findings offer practical insights for audit firms seeking to improve employee well-being and minimize behaviors that may compromise audit quality.

Keywords: *Audit Quality Reduction Behavior, Job Stressors, Role Ambiguity*

The Impact of Robotic Process Automation (RPA) on Transforming Audit Documentation and Reporting for Audit Firms in Colombo District, Sri Lanka

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Audit firms increasingly use Robotic Process Automation (RPA) to automate repetitive, rule-based tasks. However, evidence on how RPA characteristics affect audit documentation and reporting in Sri Lanka remains limited. This study examined the impact of RPA efficiency, accuracy, reliability, ease of use, and data quality on audit documentation and reporting among audit firms in Colombo District. A quantitative, cross-sectional survey used a structured questionnaire to collect data from 200 audit professionals and audit-related employees across small, medium, and large audit firms. Descriptive statistics, reliability and validity tests, correlation analysis, and multiple regression with robust standard errors were applied. The overall regression model was statistically significant and explained approximately 62% of the variation in audit documentation and reporting outcomes. Efficiency, ease of use, and data quality were significant positive predictors, with data quality showing the largest regression coefficient. Accuracy and reliability did not have statistically significant individual effects when the other characteristics were considered. These findings support previous research highlighting the contribution of automation to processing efficiency, while suggesting that outcomes also depend on usability and the quality of information processed. The study concludes that audit firms should prioritize practical, user-friendly RPA applications, strengthen data governance, and invest in staff training and change management. It provides context-specific evidence to guide RPA implementation for audit documentation and reporting in Colombo District. However, the cross-sectional design and reliance on self-reported responses should be considered when interpreting and generalizing the findings.

Keywords: *Audit Documentation, Audit Reporting, Data Quality, Digital Transformation, Robotic Process Automation*

Impact of Sustainability Auditing on Audit Quality Evidence From Sri Lankan Audit Firms

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Sustainability auditing has become increasingly important in enhancing the credibility and reliability of environmental, social, and governance disclosures. However, empirical evidence on its impact on audit quality in Sri Lanka remains limited. This study examines the impact of four sustainability auditing dimensions on audit quality, addressing a local research gap and providing evidence to guide audit firms, professional bodies, and regulators. A quantitative, cross-sectional survey was conducted using a structured questionnaire distributed to audit professionals with sustainability auditing knowledge or experience in Sri Lanka. Purposive sampling was used to obtain 100-150 valid responses. Data were analyzed using descriptive statistics, reliability and validity test, correlation analysis and multiple linear regression in Stata 17. This approach enabled the examination of relationships and the unique contribution of each dimension to audit quality. The results reveal that the overall regression model is statistically significant and explains 65.27% of the variation in audit quality (Adjusted R^2 =0.6527). Sustainable Audit Methodology (SAM) and Audit Firm Capacity (AFC) showed a positive and statistically significant impact on audit quality, Sustainable Auditors' Role (SAR) and Sustainable Auditors' Competency (SAC) and their individual impact were not statistically significant in the multiple regression model. Overall, sustainability auditing is positively associated with audit quality, but the four dimensions do not make equally significant unique contributions when considered simultaneously. Strengthening ESG expertise, organizational resources, quality controls, and structured assurance procedures may improve audit quality. Professional bodies and regulators can support this through guidance, training, and capacity-building initiatives tailored to Sri Lanka's auditing profession.

Keywords: *Audit Firm Capacity, Audit Quality, ESG Reporting, Sustainability Auditing, Sustainable Auditors' Competency, Sustainable Audit Methodology, Sustainable Auditors' Role, Sustainability Assurance*

Panel V: Corporate Finance

The Impact of Financial Media Exposure and Theory of Planned Behaviour Determinants on Stock Market Participation Intention: Evidence from Accounting and Finance Undergraduates in Western Province, Sri Lanka

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Direct engagement in the Colombo Stock Exchange is limited among educated young adults, yet little is known about the investment intentions of prospective finance professionals in Sri Lanka. This study examines the effect of financial media exposure and Theory of Planned Behaviour determinants (attitude, subjective norms and perceived behavioural control) on the stock-market participation intention of accounting and finance undergraduates in the Western Province. A positivist, deductive, cross-sectional survey design was adopted, and an online questionnaire administered to six state and recognised non-state institutions yielded 326 responses. Data were analysed in Stata using reliability analysis, factor analysis, Pearson correlation and multiple regression with robust standard errors. The model explained 76.0% of the variance in intention. Perceived behavioural control was the strongest predictor ($\beta = 0.579$), followed by financial media exposure ($\beta = 0.226$) and attitude ($\beta = 0.103$); subjective norms were not significant ($p = 0.081$). These results corroborate earlier findings on control, media exposure and attitude but differ from studies reporting a strong normative effect, possibly because norms and perceived control are intertwined among well-informed students (an untested explanation). Universities and market institutions may consider strengthening students' investing confidence and access to reliable financial media. The cross-sectional design, sampling method and single-province focus limit generalisability.

Keywords: *Financial media exposure, Perceived behavioural control, Stock-market participation intention, Subjective norms, Theory of Planned Behaviour*

The Impact of Financial Literacy on Savings Behaviour of Undergraduates: The Mediating Role of Financial Attitude

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Financial literacy is regarded as a key determinant of sound saving behaviour, yet the mechanism linking it to saving behaviour remains underexamined among undergraduates in Sri Lanka's non-state higher education sector. Set against the post-2022 economic instability, this study examines the impact of financial literacy on the savings behaviour of undergraduates at non-state universities in Colombo District and tests whether financial attitude mediates this relationship. A quantitative, cross-sectional online survey with validated five-point Likert-scale items was completed by 343 undergraduates from ten non-state institutions. Data were analysed in Stata using reliability and factor analysis, correlation, regression and bootstrapped structural equation modelling. Financial literacy significantly predicted financial attitude ($\beta = 0.849$, $p < 0.001$); financial attitude significantly predicted savings behaviour ($\beta = 0.419$, $p < 0.001$) and was the strongest predictor; financial literacy also had a significant direct effect on savings behaviour ($\beta = 0.336$, $p < 0.001$); and financial attitude partially mediated the relationship, accounting for about 51 percent of the total effect (indirect effect = 0.355, 95% CI [0.241, 0.469]). Financial literacy thus shapes savings behaviour both directly and through a more favourable attitude toward saving. The study extends the Theory of Planned Behaviour to an under-researched population and offers one of the first tests of financial attitude, rather than intention, as a mediator among Sri Lankan undergraduates, with implications for universities, financial institutions and policymakers.

Keywords: *Financial attitude, Financial literacy, Mediation, Savings behaviour, Sri Lanka*

The Impact of Buy-Now-Pay-Later Usage on Financial Stress among Young Professionals in Colombo District

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The rapid growth of Buy Now, Pay Later (BNPL) services has transformed consumer payment behaviour by allowing purchases to be repaid in short instalments, yet concerns have arisen about its consequences for financial well-being. This study examines the impact of impulsive buying tendency and of digital financial literacy on the financial stress of young professionals using BNPL services in Colombo District, Sri Lanka. A quantitative approach was adopted, and data were collected through a structured questionnaire from 312 young professionals aged 18–35 years with BNPL experience, selected by convenience sampling. Reliability, descriptive and validity analyses and multiple linear regression were conducted in Stata. Impulsive buying tendency was positively related to financial stress, whereas digital financial literacy was negatively related to it. The model explained 81.23% of the variance in financial stress. The findings suggest that financial outcomes among BNPL users depend not only on access to BNPL but also on consumers' purchasing behaviour and their ability to understand and manage digital financial commitments. BNPL providers are recommended to strengthen cost transparency, repayment information, affordability reminders and responsible-use initiatives. The study contributes to the understanding of BNPL-related financial stress in the Sri Lankan context and provides directions for future research.

Keywords: *BNPL, Digital financial literacy, Financial stress, Impulsive buying tendency, Young professionals*

The Impact of Financial Literacy on Personal Investment Decisions among Accounting Undergraduates in Non-State Higher Educational Institutes in Sri Lanka

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Financial literacy is important as young adults face investment opportunities and digital financial services. This study examines the impact of financial literacy on the personal investment decisions of accounting undergraduates in non-state higher educational institutes in Sri Lanka. Financial literacy was assessed through financial knowledge, financial skills and digital financial awareness, while investment decisions were assessed through risk and return preferences, financial opinions and investment option allocation. A positivist, deductive, quantitative, cross-sectional survey design was adopted, and a structured questionnaire was completed by 395 accounting undergraduates from SAB Campus, NSBM, NIBM and SLIIT, selected by convenience sampling. Data were analysed in Stata 17 using descriptive statistics, reliability and validity tests, correlation analysis and multiple linear regression. Financial literacy had a positive and statistically significant impact on personal investment decisions, with the model explaining 51.09% of the variation. All three dimensions were positive and significant: financial skills had the strongest influence, followed by digital financial awareness, while financial knowledge had the weakest. Practical financial capabilities and competence in using digital financial platforms therefore appear more influential than theoretical knowledge alone. Educational institutes are encouraged to strengthen applied financial education through investment simulations, budgeting exercises and case studies, and regulators and financial institutions to integrate digital financial awareness into literacy programmes and provide secure, user-friendly investment platforms.

Keywords: *Accounting undergraduates, Digital financial awareness, Financial literacy, Financial skills, Personal investment decisions*

Does Derivative Usage Impact the Firm Value of Sri Lankan Licensed Commercial Banks

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Financial derivatives are often used to manage risks arising from interest rates and foreign exchange, yet evidence on how their use influences firm value remains unclear, especially in emerging markets such as Sri Lanka where derivatives markets are still developing. This study investigates the use of derivatives by Sri Lankan licensed commercial banks and its effect on firm value, measured by Tobin's Q, drawing on Hedging Theory and Managerial Aversion Theory. Archival panel data covering 19 commercial banks over 12 years were used. Derivative usage was measured as the fair value of derivatives divided by total assets. A two-step System GMM estimation was applied to address endogeneity and the dynamic nature of firm value. Derivative usage in Sri Lankan banks remained low. Static panel models revealed no link between derivative usage and firm value, whereas the System GMM estimation revealed a clear negative impact of derivative usage on firm value. Bank managers should compare the transaction cost, premium and tenor of derivatives with those of the exposure being hedged and consider natural hedges, such as maturity matching of funding. Future research should distinguish between instruments and purposes, include macroeconomic and liquidity factors, control for year effects and repeat the analysis with listed banks only.

Keywords: *Derivative usage, Firm value, Sri Lanka, System GMM, Tobin's Q*

The Influence of Financial Literacy and Psychosocial Factors on Entrepreneurial Intention among Accounting Undergraduates in Sri Lanka

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Entrepreneurship contributes to economic development through innovation and employment creation, yet entrepreneurial intention among accounting undergraduates in Sri Lanka remains under-researched. Drawing on the Theory of Planned Behaviour, this study examined the influence of financial literacy, social influence, risk tolerance and perceived behavioural control on entrepreneurial intention. A quantitative, cross-sectional, positivist and deductive design was adopted, using a structured questionnaire and non-probability purposive sampling of accounting undergraduates. The 302 valid responses were analysed using descriptive statistics, reliability and validity tests, Pearson correlation and multiple regression. Cronbach's alpha (0.776–0.864) and the Kaiser-Meyer-Olkin value (0.917) confirmed reliability and data suitability. The model explained 54.4% of the variance in entrepreneurial intention. Financial literacy ($\beta = 0.127$, $p = 0.017$), social influence ($\beta = 0.230$, $p < 0.001$) and perceived behavioural control ($\beta = 0.438$, $p < 0.001$) were significant positive predictors, with perceived behavioural control the strongest. Risk tolerance was not significant ($\beta = 0.051$, $p = 0.405$), which tentatively suggests that intention depends more on self-confidence and social support than on willingness to take risks. Universities may consider strengthening financial literacy and students' confidence in their entrepreneurial capabilities; mentorship and entrepreneurial networks may merit exploration, although they were not measured. Purposive sampling and the cross-sectional design limit generalisability and preclude causal inference.

Keywords: *Accounting undergraduates, Entrepreneurial intention, Financial literacy, Perceived behavioural control, Social influence*

The Impact of Fintech Literacy on Personal Financial Decision-Making of Financial Professionals in Colombo District, Sri Lanka

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Fintech has changed how people save, spend and invest, yet financial professionals are often assumed to be fintech-literate without evidence. Whether this assumption holds, and whether fintech literacy influences how these professionals manage their own finances, has received little empirical attention. This study investigates how fintech literacy, covering awareness, skills and knowledge, tool usage and confidence, shapes the personal financial decision-making of financial professionals in the Colombo District, Sri Lanka. Four hypotheses were tested, one for each dimension of fintech literacy. A positivist, deductive, cross-sectional survey using stratified sampling produced 449 valid responses, analysed through multiple regression in Stata 17. The model accounted for 80.5% of the variance ($R^2 = 0.805$, $F = 456.750$, $p < 0.001$), and all four hypotheses were supported, with confidence the strongest predictor ($\beta = 0.342$). Awareness, skills and knowledge, and tool usage were also significant. Confidence in using fintech tools is therefore the dimension most closely associated with sound personal financial decision-making in this group. As the design is cross-sectional and the sample is confined to the Colombo District, the findings indicate association rather than causation and may not generalise to other settings. Institutions and professional bodies may wish to prioritise building confidence and encouraging regular tool usage alongside technical training.

Keywords: *Financial decision-making, Fintech confidence, Fintech literacy, Fintech skills and knowledge, Fintech tool usage*

The Impact of FinTech on Financial Inclusion in the Banking Sector: Evidence from Sri Lanka

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Sri Lanka's banking sector is increasingly adopting financial technology (FinTech) to widen access to financial services, yet the factors that most effectively support financial inclusion, particularly for underserved communities, require further empirical examination. This study investigates the effects of accessibility, affordability, security and technological adaptability on financial inclusion in Sri Lanka's banking sector. Guided by a positivist philosophy and deductive approach, a quantitative, cross-sectional survey was conducted using structured questionnaires completed by 212 respondents. Responses measured on five-point Likert scales were analysed in Stata using descriptive statistics, reliability and validity assessments, Pearson correlation and multiple regression. The model was statistically significant ($F = 109.08$, $p < 0.001$) and explained 67.8% of the variation in financial inclusion. Technological adaptability had the strongest positive association with financial inclusion ($\beta = 0.371$, $p < 0.001$), followed by security ($\beta = 0.265$, $p < 0.001$) and accessibility ($\beta = 0.179$, $p = 0.003$); affordability was not significant ($\beta = 0.104$, $p = 0.088$). The findings are consistent with previous research emphasising accessible services, transaction security and ease of use as drivers of digital financial inclusion, while suggesting that lower costs alone may not suffice. Providers and policymakers should expand digital access, strengthen cybersecurity and data protection, and design user-friendly platforms supported by digital-literacy initiatives. The results provide context-specific evidence for improving financial inclusion in Sri Lanka, although the cross-sectional design limits causal interpretation.

Keywords: *Accessibility, Affordability, Financial inclusion, FinTech, Sri Lanka*

The Impact of Financial Literacy Level on Personal Financial Management among Undergraduates at the State Universities in Sri Lanka

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Financial literacy helps individuals make informed financial decisions and manage personal finances effectively, and university students must manage financial resources while meeting educational and daily living expenses. This study examined the impact of financial literacy on Personal Financial Management (PFM) among state university undergraduates in Sri Lanka, focusing on financial knowledge, financial attitude and financial behaviour. A quantitative, cross-sectional survey design was adopted, and primary data were collected through a structured questionnaire using a five-point Likert scale. A total of 407 valid responses were analysed in STATA using descriptive statistics, reliability and validity analysis, Pearson correlation and multiple regression, with heteroskedasticity-robust standard errors in the final regression. Financial knowledge, financial attitude and financial behaviour had positive and statistically significant relationships with PFM. The multiple regression model was statistically significant and explained 56.19% of the variation in PFM. Financial literacy also had a positive and statistically significant relationship with PFM, explaining 55.74% of its variation. All four hypotheses were supported. The study concludes that financial literacy and its dimensions are important factors associated with PFM among state university undergraduates in Sri Lanka, and that strengthening students' financial knowledge, attitudes and responsible financial behaviour can improve personal financial management.

Keywords: *Financial attitude, Financial behaviour, Financial knowledge, Financial literacy, Personal financial management*

Behavioural Biases and Investment Decisions among Investors in Sri Lanka: The Moderating Role of Financial Literacy and the Mediating Role of AI Use

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This study examines how behavioural biases relate to the investment decisions of retail investors in Sri Lanka, and the roles of artificial intelligence (AI) use and perceived financial literacy in that relationship. Behavioural finance shows that investors depart systematically from rational decision-making, yet AI tools, an increasingly common source of financial information, have not been incorporated into models of investor behaviour in Sri Lanka. Four biases (overconfidence, herding, risk-aversion and the disposition effect) were modelled as separate predictors of investment decisions, with AI use as a mediator and perceived financial literacy as a moderator. Primary data were collected through an online questionnaire from 372 retail investors selected by non-probability sampling and analysed using partial least squares structural equation modelling. Overconfidence and herding were positively, and risk-aversion negatively, associated with investment decisions, while the disposition effect showed no statistically clear association with either investment decisions or AI use. These biases were also associated with AI use, which in turn was positively associated with investment decisions. AI use significantly mediated the relationships of overconfidence, herding and risk-aversion with investment decisions, partially supporting the mediation hypothesis. No interaction term involving perceived financial literacy was significant, although its direct association with investment decisions was significant and positive. Support for retail investors is likely to be more effective where behavioural awareness, financial capability and guidance on the responsible use of AI tools are addressed together.

Keywords: *Artificial intelligence, Behavioural biases, Investment decisions, Perceived financial literacy, Retail investors*

The Impact of Economic Uncertainty on Capital Investment Decisions of Sri Lankan Listed Manufacturing Firms

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This study investigates how economic uncertainty affects the capital investment decisions of manufacturing companies listed on the Colombo Stock Exchange (CSE), addressing the lack of firm-level evidence from frontier emerging markets, especially during Sri Lanka's 2022 economic crisis. A panel of 46 listed manufacturing firms with 276 firm-year observations (2020–2025) was analysed using static fixed-effects regression with firm-clustered robust standard errors to test three hypotheses: economic uncertainty, measured by the smoothed World Uncertainty Index (WUI) for Sri Lanka, significantly affects capital investment; its impact is more severe during the 2022 crisis; and it is stronger for financially constrained (smaller) firms than for unconstrained (larger) firms. Contemporaneous and one-year lagged WUI were both tested, the latter reflecting the delayed investment responses under irreversibility predicted by real options theory. The contemporaneous results supported none of the hypotheses. The lagged specifications showed a theoretically coherent pattern: the aggregate lagged effect was marginally significant ($p = 0.052$), and was significant ($p = 0.010$) and negative ($\beta = -0.2129$) for smaller firms but not larger firms. Cash flow, asset tangibility and firm size were the most significant and consistent variables across specifications. The study provides firm-level evidence from an under-researched frontier market, shows the relevance of testing lagged and contemporaneous uncertainty effects, and extends real options theory and the financing-constraints framework to a sovereign default crisis setting, with implications for corporate liquidity management and the timing of policy interventions to support productive investment.

Keywords: *Capital investment, Economic uncertainty, Financing constraints, Real options theory, World Uncertainty Index*

Panel VI: Sustainability and ESG

Preparers' Perspectives on Mandatory Sustainability Disclosures in Sri Lankan Listed Companies

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The transition from voluntary sustainability reporting to mandatory, ISSB-aligned requirements is reshaping corporate reporting. This study explores changes in financial reporting and Environmental, Social and Governance (ESG) disclosures among publicly listed companies in Sri Lanka from preparers' perspectives. An interpretivist philosophy, inductive approach and exploratory qualitative design were adopted. Data were gathered through semi-structured interviews with ten professionals in financial reporting, sustainability reporting, assurance, audit, risk advisory and investment, selected purposively, and analysed using Braun and Clarke's thematic analysis. Sustainability information is increasingly integrated into mainstream corporate reporting. Participants described greater cross-functional collaboration, and stronger governance, internal controls, verification and documentation of ESG data, together with improved standardisation, transparency, credibility and accountability. However, implementation is constrained by unreliable ESG data, limited technical expertise, inadequate reporting systems and additional resource demands. These challenges align with earlier research on sustainability reporting in developing economies, while mandatory requirements can also influence internal processes and strategic decision-making. Mandatory disclosure is driving change beyond formal compliance, but effective implementation depends on organisational readiness. Companies should strengthen data systems, clarify responsibilities and invest in training, while regulators and professional bodies should provide clear guidance and support.

Keywords: *Accountability, ESG disclosures, Financial reporting, Mandatory sustainability disclosure, Transparency*

The Impact of ESG Disclosures on Financial Performance of Non-Financial Listed Companies in Sri Lanka

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The global shift towards stakeholder capitalism has increased the importance of Environmental, Social and Governance (ESG) disclosures in assessing companies' non-financial risks and resilience. This study examines the impact of ESG disclosures on the financial performance of non-financial companies listed in Sri Lanka. Using a quantitative archival approach, ESG information was collected through manual content analysis with a checklist based on Global Reporting Initiative (GRI) standards. The dataset comprised 300 firm-year observations (2021–2025) from 60 purposively selected non-financial companies listed on the Colombo Stock Exchange. Financial performance was measured using a composite firm value (CFV) combining ROA, ROE and Tobin's Q. Following diagnostic testing, fixed-effects panel regression was performed in STATA with clustered robust standard errors. Overall ESG disclosure had no statistically significant effect on financial performance, and neither did environmental or social disclosure. However, governance disclosure had a positive and significant relationship with firm value, suggesting that Sri Lankan investors may place greater emphasis on internal governance and board monitoring, particularly during economic uncertainty. Governance structures and internal monitoring should be strengthened, and policymakers should consider more structured ESG reporting requirements and independent assurance. The findings improve understanding of how non-financial information is valued in Sri Lanka.

Keywords: *Composite firm value, Corporate governance, ESG disclosures, Financial performance, Non-financial listed companies*

The Impact of Sustainability Disclosure Standards on Company Financial Performance: Evidence from Listed Textile Companies in South Asia

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Stakeholders increasingly demand transparency on companies' environmental, social and governance (ESG) practices, yet the impact of sustainability disclosure on corporate financial performance remains uncertain in emerging countries. This study explores the linkage between environmental, social, governance and overall ESG disclosure and the financial performance of textile firms listed in South Asian countries. A quantitative, explanatory design founded on positivist philosophy and a deductive approach was adopted. Secondary data were gathered from the annual reports, sustainability reports, corporate governance reports and audited financial statements of 50 textile firms listed in India, Bangladesh, Pakistan and Sri Lanka for 2021–2025, giving 250 observations. ESG disclosure was measured using binary indices based on GRI standards, and financial performance using return on equity (ROE). Descriptive statistics, correlation analysis, multiple regression and fixed-effects panel regression were used. Environmental and governance disclosure had significant positive relationships with ROE, whereas the relationship of social disclosure with ROE was insignificant when the other dimensions were considered. Overall ESG disclosure also had a significant positive relationship with ROE. The findings provide industry-specific evidence from South Asian emerging markets. Companies should prioritise environmental and governance disclosure, regulators should promote consistent GRI-based reporting, and investors can treat disclosure as a quality signal.

Keywords: *ESG disclosure, Financial performance, GRI standards, South Asia, Textile industry*

Impact of ESG Reporting on Financial Performance: The Moderating Role of the Corporate Life Cycle of Listed Companies in Sri Lanka

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Environmental, Social and Governance (ESG) reporting has become an increasingly important component of corporate disclosure, yet its financial implications remain uncertain, particularly in emerging markets such as Sri Lanka. This study examines the impact of ESG reporting on the financial performance of listed companies in Sri Lanka and assesses the moderating role of the corporate life cycle. Secondary data from 61 non-financial listed companies for 2021–2025 formed a balanced panel of 305 firm-year observations. Financial performance was measured using return on assets (ROA), return on equity (ROE) and Tobin's Q, and ESG reporting using a structured 30-item disclosure index covering environmental, social and governance dimensions. Life cycle stages were classified according to operating, investing and financing cash-flow patterns. Hypotheses were tested using panel regression models with clustered standard errors, supported by diagnostic tests, marginal-effects analysis and robustness checks. ESG reporting had no statistically significant direct effect on ROA, ROE or Tobin's Q, but the corporate life cycle partially moderated the relationship: the interaction between ESG reporting and the shake-out stage had a positive and significant effect on ROA, although the stage-specific marginal effects were not significant. The financial implications of ESG reporting are therefore conditional rather than uniform across companies. The study offers practical insights for managers, investors and policymakers seeking to improve ESG disclosure practices and sustainability-related decision-making in Sri Lanka.

Keywords: *Corporate life cycle, ESG reporting, Financial performance, Listed companies, Sri Lanka*

Relationship between Sustainability Reporting and Financial Performance: Evidence from Licensed Commercial Banks in Sri Lanka

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This study investigates the relationship between corporate sustainability reporting disclosures and the financial performance of licensed commercial banks in Sri Lanka, where sustainability reporting has become a core strategic imperative in emerging financial markets. Grounded in stakeholder theory, legitimacy theory and the resource-based view, the study examines a panel dataset of banks. Sustainability reporting was evaluated using economic, environmental and social disclosure indices derived from Global Reporting Initiative (GRI) standards and the Central Bank of Sri Lanka Sustainable Finance Roadmap 2019, while return on assets and return on equity measured financial performance. Diagnostic tests, including variance inflation factor analysis for multicollinearity, were conducted, and panel estimation was applied, with the Hausman specification test confirming the random effects model as the most appropriate. The social disclosure index had a statistically significant positive impact on asset-level profitability. Environmental disclosures showed short-term cost burdens arising from initial green compliance and transitional adjustments, whereas economic disclosures tended to show positive performance tendencies. These findings offer actionable insights for stakeholders balancing short-term green compliance and overall financial stability in the Sri Lankan banking sector.

Keywords: *ESG disclosures, Financial performance, Licensed commercial banks, Panel regression analysis, Sustainability reporting*

Impact of ESG Reporting on Financial Performance: The Moderating Role of Leverage and Stock Price Volatility in Colombo Stock Exchange Listed Companies

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ESG disclosure in Sri Lanka is now mandatory under SLFRS S1 and SLFRS S2, but its value to listed firms remains unclear. This study asks whether listed firms that disclose more ESG information achieve higher firm value, and whether this effect differs for firms with more debt or more volatile share prices. Using a positivist, deductive approach, archival data were collected from the annual, integrated and sustainability reports of the top 100 Colombo Stock Exchange companies by market capitalisation for 2023–2025. ESG reporting was measured with a 36-item unweighted disclosure index and financial performance with Tobin's Q. After excluding financial firms and incomplete records, the sample comprised 131 firm-year observations from 44 non-financial companies. Data were analysed in Stata using pooled OLS, fixed and random effects models and mean-centred interaction terms. The Hausman test favoured the random effects model, which showed a significant positive effect of ESG reporting on Tobin's Q; neither leverage nor volatility moderated this relationship. ESG disclosure increased significantly over the period, mainly in the environmental pillar, with 87.3 percent of firms improving their scores. The positive effect agrees with evidence from Jordan, but the moderating role of volatility found there was not observed in Sri Lanka, possibly because of the short three-year panel. Managers and regulators should treat ESG reporting as a source of firm value, not only a compliance requirement.

Keywords: *Colombo Stock Exchange, ESG reporting, Financial performance, Leverage, Stock price volatility*

The Impact of Environmental, Social and Governance Initiatives on Firm Performance: The Moderating Role of Technology Innovation in Consumer Sector Firms Listed on the Colombo Stock Exchange, Sri Lanka

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Environmental, Social and Governance (ESG) practices are increasingly important, yet evidence on how they affect performance is mixed and limited in Sri Lanka, particularly in the consumer sector. This study examines the impact of ESG initiatives on the firm performance of consumer sector companies listed on the Colombo Stock Exchange and evaluates whether Technology Innovation moderates this relationship. A quantitative, deductive design guided by the Resource-Based View and Stakeholder Theory was adopted, using secondary data from the annual reports of 28 purposively selected firms from 2021 to 2025 (140 firm-year observations). ESG was measured through a 22-item disclosure checklist, and performance through return on equity and return on assets. Panel regression used the random effects model (Hausman test) with cluster-robust standard errors. ESG had a significant positive effect on performance, clearest for return on assets and weaker for return on equity, robust to winsorising and separate testing of each ESG pillar. This is consistent with most previous studies, including Sri Lankan evidence. Technology Innovation had a significant direct effect but did not moderate the relationship, unlike studies reporting a strengthening role of technology, possibly because capital expenditure was used as a proxy and the sample was small. Managers should continue investing in ESG, and regulators should strengthen ESG and technology-related disclosure.

Keywords: *ESG, Firm performance, Moderating effect, Panel regression, Technology innovation*

The Relationship between Sustainability Practices and Financial Performance in the Hotel Industry: Evidence from PLC Hotels in Colombo District, Sri Lanka

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This study examines the relationship between environmental, social and governance (ESG) practices and the financial performance of Public Limited Company (PLC) hotels in the Colombo District of Sri Lanka, and the ESG dimension most strongly associated with it. Despite growing attention to sustainability in the hotel industry, empirical evidence from Sri Lanka remains limited. Guided by a positivist philosophy and deductive approach, the study used a quantitative design and purposive sampling. Secondary data from the annual reports and sustainability disclosures of eight PLC hotels covered six financial years, 2020/21–2025/26. Return on assets (ROA) measured financial performance, and ESG practices were measured using a disclosure index. Pearson correlation and panel regression, including robust estimations, were conducted in Stata. Correlation analysis showed moderate, significant positive associations between ROA and environmental and governance disclosures, with governance the strongest; social disclosures had a weaker positive relationship. Although social practices were significant in the initial fixed-effects model, no ESG dimension remained significant after robust correction for heteroskedasticity. These findings partly align with research reporting positive sustainability–performance relationships, but also with evidence that outcomes vary by context and may not be immediate. ESG practices were positively associated with ROA, but not significantly in robust models. Hotel managers, investors and policymakers should view sustainability as a long-term strategic priority rather than assume immediate financial gains.

Keywords: *Environmental sustainability, Financial performance, Governance, Social sustainability, Sustainability practices*

Stock Price Reactions to Green Bond Issuance Announcements: Evidence from Asian Capital Markets

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Green bonds have become an important instrument for funding environmentally sustainable projects, yet their effect on shareholder value in Asian capital markets remains uncertain, and specific evidence is limited. This study investigates whether the announcement of a green bond issuance has a significant impact on the share price of the listed issuing firm in Asia. A quantitative market-model event study was applied to 47 green bond issuance announcements from China, India, Japan, Singapore, Sri Lanka and Thailand. Abnormal returns and cumulative abnormal returns (CARs) were calculated over four event windows: [−1, +1], [−3, +3], [−5, +5] and [−10, +10]. The analysis used descriptive statistics, one-sample t-tests and Wilcoxon signed-rank tests. Mean CARs were positive across the event windows, but none was statistically significant, providing no support for the hypothesis of a significant positive stock price reaction. Reactions at the country level were diverse, with India showing a significant negative mean CAR of around 5.09% in the [−5, +5] window. The study concludes that green bond issuance announcements do not necessarily generate significant short-term gains for shareholders. Policymakers should therefore take into account variations among capital markets when promoting sustainable financing, and issuers and investors should not assume an immediate share price premium from green bond announcements.

Keywords: *Green bonds, Stock price reaction, Sustainable finance*

Panel VII: Management Accounting

AI and Automation in Management Controls: Transforming Variance Reporting and Internal Performance Monitoring

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Rapid technological advancement is reshaping management accounting, moving organisations from reactive historical reporting towards real-time, predictive decision-making, yet traditional variance reporting and internal performance monitoring face operational delays, human error and limited predictive foresight. This study examines how integrating Robotic Process Automation (RPA) and Artificial Intelligence (AI) tools transform internal management control environments. Using a quantitative survey of financial and management accountants alongside semi-structured expert interviews across corporate sectors, the research evaluates the impact of automated workflows on control efficiency. The findings reveal that RPA implementation substantially accelerates data aggregation and variance detection, eliminating manual reconciliation bottlenecks and reducing monthly reporting lead times. Machine learning algorithms also facilitate predictive variance modelling, enabling management to identify and mitigate performance deviations proactively. However, high initial capital outlays, system integration complexities and technical skill gaps among accounting personnel are notable adoption hurdles. The study concludes that AI and automation significantly elevate the speed, precision and strategic value of internal management controls, but sustainable implementation requires strategic investment in technical upskilling and robust data governance frameworks.

Keywords: *Artificial intelligence, Management controls, Predictive analytics, Robotic process automation, Variance reporting*

The Impact of Green Accounting Practices on Cost Reduction in Large-Scale Apparel Manufacturing Companies in Western Province of Sri Lanka

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Rising environmental pressures and the need for cost efficiency have made green accounting increasingly relevant to Sri Lanka's apparel industry, yet empirical evidence on whether such practices reduce costs remains limited. This study examined the impact of Environmental Cost Tracking (ECT), Waste Management Accounting (WMA), Carbon Footprint Reporting (CFR) and Sustainable Supply Chain Management (SSCM) on cost reduction in large-scale apparel manufacturing companies in the Western Province, and identified the most effective practice. Grounded in stakeholder and legitimacy theories, a positivist, quantitative, cross-sectional survey design was adopted. A structured Likert-scale questionnaire was administered to purposively selected executive-level and above personnel across 26 companies, as they are best placed to assess green accounting practices and cost outcomes. The 184 valid responses, exceeding the required minimum of 169, were analysed using reliability and validity tests, Pearson correlation and multiple linear regression. All four practices were positively and significantly correlated with cost reduction and jointly explained 69.74% of its variation, but only WMA had a significant independent impact ($\beta = 0.5362$, $p < 0.001$). The dominance of WMA is consistent with prior apparel sector evidence that materials drive most garment production costs, while overlap among the other practices suggests they contribute as an integrated system. WMA is the most effective practice for cost reduction; managers should prioritise structured waste auditing and policymakers should provide targeted adoption incentives.

Keywords: *Apparel manufacturing, Cost reduction, Green accounting, Sri Lanka, Waste management accounting*

The Impact of Digital Transformation of Management Accounting Practices on Sustainable Performance of the Apparel Industry in Sri Lanka

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Digital transformation is reshaping management accounting to deliver timely information, better decision-making and more sustainable operations, yet empirical evidence on its impact on the sustainable performance of the Sri Lankan apparel industry is limited. This study investigated the influence of digital cost management, digital budgeting and planning, real-time performance reporting and digital environmental cost accounting on sustainable performance. A positivist philosophy and a quantitative explanatory design were adopted. Primary data were collected through a structured questionnaire from 187 accounting and finance professionals in Sri Lankan apparel manufacturing companies and analysed in Stata 17 using descriptive statistics, reliability and exploratory factor analysis, correlation, multiple regression and multicollinearity tests. The regression model accounted for 76.63% of the variation in sustainable performance. Digital environmental cost accounting had the most positive and significant effect, and digital budgeting and planning also had a significant positive relationship, whereas digital cost management and real-time performance reporting were positively but not significantly associated with sustainable performance. Managers should strengthen environmental cost accounting and integrate digital budgeting into management accounting systems to support long-term sustainable performance.

Keywords: *Digital budgeting and planning, Digital cost management, Digital environmental cost accounting, Real-time performance reporting, Sustainable performance*

The Impact of Lean Manufacturing Tools on Enhancing Product Quality: The Moderating Effect of Employee Motivation in Large-Scale Apparel Manufacturing Companies in Colombo District, Sri Lanka

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Product quality is a critical competitiveness factor for large apparel manufacturers in Sri Lanka's export-led economy. Although Lean Six Sigma (LSS) and Total Quality Management (TQM) are used to reduce defects and ensure continuous improvement, it is unclear whether their effectiveness depends on employee motivation (EM). This study investigates the impact of lean manufacturing tools on product quality improvement (PQI) and the moderating effect of EM in large-scale apparel manufacturing companies in the Colombo District. A positivist philosophy, deductive quantitative approach and cross-sectional survey design were adopted. Using convenience sampling, data were collected from 170 employees with relevant expertise in 36 companies, and analysed in STATA through descriptive statistics, reliability and factor analysis, correlation and regression. LSS ($B = 0.237$, $p = 0.001$) and TQM ($B = 0.421$, $p < 0.001$) both had significant positive relationships with PQI, explaining 45.3% of its variation. Unexpectedly, EM significantly weakened the relationships of PQI with both LSS ($B = -0.196$, $p = 0.021$) and TQM ($B = 0.174$, $p = 0.035$). PQI was lowest when workers were highly motivated and improved as motivation declined, contradicting the basic tenets of lean manufacturing. Moderate worker motivation may be needed to realise the maximum benefits of lean and total quality management, so managers should consider motivation levels.

Keywords: *Apparel manufacturing, Employee motivation, Lean Six Sigma, Product quality improvement, Total quality management*

The Role of Financial Awareness in Shaping Budgeting Behaviour: A Comparative Study of State and Non-State Management Undergraduates in Colombo District, Sri Lanka

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University students face rising tuition fees and living costs, yet limited Sri Lankan research examines how financial awareness shapes their budgeting behaviour, particularly across state and non-state institutions. This study examined the impact of financial knowledge, financial attitude and financial self-efficacy on budgeting behaviour among management undergraduates in Colombo District and compared the relationship between the two institution types. Grounded in the Theory of Planned Behaviour and Social Cognitive Theory, a positivist, deductive, cross-sectional survey was conducted using a structured online questionnaire. Stratified non-probability sampling yielded 312 valid responses (163 state, 149 non-state). Data were analysed using descriptive statistics, Pearson correlation, multiple regression with robust standard errors, comparative regression and interaction analysis. Financial knowledge, financial attitude and financial self-efficacy each had significant positive effects ($p < 0.001$), jointly explaining 77.1% of the variance. Knowledge was the strongest predictor, consistent with earlier studies linking knowledge to structured budgeting, while the effects of attitude and self-efficacy support both theories. In contrast to prior research reporting institutional differences, no significant difference was found between state and non-state students ($p = 0.913$), and the interaction effect was not significant. Financial education should therefore build knowledge, positive attitudes and confidence through practical activities across both university types. Findings are limited by self-reported data and the Colombo District focus.

Keywords: *Budgeting behaviour, Financial attitude, Financial knowledge, Financial self-efficacy, Management undergraduates*

The Relationship between Artificial Intelligence Adoption and Cost Efficiency in Manufacturing Organisations in Sri Lanka

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Artificial Intelligence (AI) is increasingly used in manufacturing to improve operations, support decision-making and manage resources efficiently, yet limited empirical evidence exists on how AI adoption relates to specific cost-efficiency outcomes in Sri Lankan manufacturing organisations. This study examines the relationship between AI adoption and three dimensions of cost efficiency: inventory cost efficiency, labour cost efficiency and production waste reduction. Guided by the Resource-Based View, a quantitative, cross-sectional survey design with purposive sampling was adopted. A structured questionnaire yielded 89 valid responses from individuals working in manufacturing organisations with current or pilot AI use, analysed in Stata using descriptive statistics, reliability and factorability tests, Pearson correlation and ordinary least squares regression with HC3 robust standard errors. AI adoption was positively and significantly related to all three outcomes ($p < 0.001$), most strongly inventory cost efficiency (standardised $\beta = 0.819$), followed by labour cost efficiency ($\beta = 0.786$) and production waste reduction ($\beta = 0.742$). The models explained 68.1%, 63.7% and 56.5% of the respective outcome variance. These findings are consistent with the view that AI supports more effective resource utilisation when embedded in organisational processes and decision-making. Manufacturers should align AI investments with operational needs, strengthen data integration and develop employee capabilities. The cross-sectional design and self-reported measures mean the findings indicate associations rather than causal effects.

Keywords: *Artificial intelligence, Cost efficiency, Inventory management, Manufacturing, Production waste reduction*

Exploring the Effectiveness of Time Budgeting Practices at ABC Sri Lanka

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Time budgeting supports audit planning and resource allocation, but restrictive budgets may create pressure that affects performance and audit quality. This study explored time budgeting practices at ABC Sri Lanka, the challenges experienced by audit staff and their implications for audit quality and staff performance. An interpretive qualitative single-case-study design was adopted. Data were gathered from semi-structured interviews with four purposively selected participants (a partner, audit manager, senior auditor and trainee) and documentary evidence, including audit plans, engagement summaries and the Kreston Audit Methodology (KAM), and analysed through thematic and content analysis with triangulation across sources. Budgets were prepared top-down from prior-year actual time and planned reductions, but gaps existed between the formal methodology and reported practice, including incomplete budget communication to junior staff, limited variance documentation and post-engagement review, and inconsistent time recording. The engagements examined exceeded their budgets. Underreporting hours and unpaid additional work were described as coping mechanisms, and participants identified risks of reduced testing, acceptance of weak client explanations and diminished staff wellbeing. These findings reflect prior research linking time budget pressure with reduced audit quality. Budget adherence alone is an inadequate measure of audit performance. Participative budget setting, formal reviews, peak-season workload planning and assessments that do not encourage underreporting are recommended. As a single-firm study of four participants, the findings are context-specific.

Keywords: *Audit quality, Audit time budgets, Time budget pressure, Time budgeting, Underreporting of chargeable time*

The Impact of ISO 14001 Certification on the Financial Performance of ISO 14001-Certified Listed Companies in the GICS Materials Industry Group of the Colombo Stock Exchange

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This study explores whether stronger prior financial performance increases the likelihood of ISO 14001 adoption (selection effect) and assesses the effect of ISO 14001 certification on firms' subsequent financial performance, measured by return on assets (ROA) and return on equity (ROE), within the GICS Materials industry group of the Colombo Stock Exchange. A positivist, deductive quantitative design was applied to secondary data for nine listed companies from 2016 to 2025, producing a balanced panel of 90 firm-year observations. The findings suggest that companies with better-than-average financial performance may be more willing and able to obtain ISO 14001 certification, possibly because financially stronger companies have more resources to cover certification costs and make the required operational changes. Companies with higher prior ROA were more likely to pursue certification, although this evidence is limited and not strong enough to confirm a clear relationship. Prior ROE did not significantly influence the decision to adopt ISO 14001. The study therefore provides only partial support for the selection effect: prior ROA may influence certification, but prior ROE does not appear to do so.

Keywords: *Financial performance, ISO 14001 EMSs, Selection effect, Treatment effect*

The Impact of Digital Financial Services on Stock Market Participation among Undergraduates in Sri Lanka

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Digital financial services have transformed how individuals access financial services and conduct financial activities, creating new opportunities for participation in investment markets, yet empirical evidence on Sri Lankan undergraduates is limited. This study examined the impact of digital financial services on stock market participation among undergraduates in Sri Lanka, focusing on access to, beliefs about and safety measures of digital financial services. A positivist, deductive, quantitative survey strategy was adopted. Undergraduates from state and non-state universities, particularly in the Colombo District, were selected through non-probability convenience sampling, and primary data were collected through a structured online questionnaire using a five-point Likert scale, yielding 322 valid responses. Data were analysed in STATA using descriptive statistics, reliability and validity analysis, Pearson correlation, regression diagnostic tests and multiple linear regression. Digital financial services had a statistically significant positive relationship with stock market participation, and the regression model was significant, explaining 53.9% of the variation in participation ($R^2 = 0.539$). Digital financial services are therefore an important factor associated with stock market participation among Sri Lankan undergraduates. Strengthening digital financial education, improving accessibility and enhancing awareness of secure digital financial practices are recommended, and financial institutions and universities could collaborate to support informed digital investment engagement. Future research should consider longitudinal designs, broader populations and additional influencing factors.

Keywords: *Digital financial services, Sri Lanka, Stock market participation, Undergraduates*

The Impact of Digital Analytical Tools Adoption on Management Accounting Practices and Decision-Making Effectiveness among Finance Professionals in Sri Lanka

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This study examined the relationships among digital analytical tools adoption, management accounting practices and decision-making effectiveness among finance professionals in Sri Lanka, addressing the limited evidence that examines these three constructs within one integrated model and considering the mediating role of management accounting practices. A quantitative, cross-sectional and explanatory research design was adopted. Primary data were collected using a structured five-point Likert-scale questionnaire, and 292 valid responses were analysed using descriptive statistics, reliability analysis, exploratory factor analysis, Pearson correlation, robust regression, structural equation modelling and bootstrap mediation analysis. Reported levels of all three constructs were relatively high. Digital analytical tools adoption was positively associated with management accounting practices ($b = 0.7074$, $p < 0.001$) and decision-making effectiveness ($b = 0.7202$, $p < 0.001$), and management accounting practices were positively associated with decision-making effectiveness ($b = 0.6900$, $p < 0.001$). The indirect effect of adoption through management accounting practices was 0.2502 (bias-corrected 95% bootstrap CI [0.182, 0.334]), indicating significant partial mediation. Digital analytical tool use is thus associated with management accounting practices and decision-making effectiveness, with management accounting practices forming part of the pathway to decision-support outcomes. The findings are subject to the limitations of the cross-sectional, self-reported and purposively sampled design.

Keywords: *Decision-making effectiveness, Digital analytical tools, Finance professionals, Management accounting practices, Sri Lanka*

Budget Fairness as a Mediating Factor between Budget Participation and Organisational Performance: Evidence from Listed Manufacturing Companies in Sri Lanka

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Budget participation is generally accepted as an effective way to improve organisational performance. This study examines the mediating role of budget fairness in the relationship between budget participation and organisational performance in listed manufacturing companies in Sri Lanka. A quantitative design based on positivist philosophy and a deductive approach was used. Primary data were collected through a structured questionnaire from managerial and executive-level employees involved in budgeting, and purposive sampling yielded 107 valid responses. Data were analysed in STATA 17 using descriptive statistics, reliability analysis, Pearson correlation, regression and mediation analysis. Budget participation was positively and significantly related to budget fairness, and budget fairness was positively and significantly related to organisational performance. However, the direct impact of budget participation on organisational performance was not significant, and mediation analysis suggests that budget fairness fully mediates this relationship. These findings are consistent with behavioural accounting and organisational justice perspectives, which suggest that participation may not improve performance unless employees feel that budgeting processes and outcomes are fair. Listed manufacturing companies should encourage employee engagement while ensuring that budget preparation, target setting and resource allocation are transparent, consistent and equitable. The study contributes empirical evidence from the Sri Lankan manufacturing sector.

Keywords: *Budget fairness, Budget participation, Listed manufacturing companies, Organisational performance, Sri Lanka*

Panel VIII: Data Analytics and Digital Transformation

Queue Simulation Analysis to Improve Customer Service Efficiency at a Bubble Tea and Ice Cream Company in Sri Lanka: An Arena Simulation Approach

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Long customer queues can reduce service efficiency and customer satisfaction in food and beverage outlets. This study aimed to identify the primary bottleneck in the single-queue, single-cashier ordering system at a bubble tea and ice cream business in Wellawatte, Sri Lanka, evaluate alternative service configurations, and identify strategies for reducing waiting times. Primary data were collected through direct observation of 100 customers between 5:00 p.m. and 8:30 p.m., recording arrival times, service start and end times, and dine-in or takeaway status. Inter-arrival times followed an exponential distribution with a mean of 2.08 minutes, while service times followed a normal distribution with a mean of 3.99 minutes and a standard deviation of 0.57 minutes. Arena simulation modelled the system for 180 minutes across 30 replications at a 95% confidence level. Baseline results revealed an average waiting time of approximately 28 minutes, an average queue length of 11 customers, and cashier utilisation of 98%, indicating insufficient service capacity. Three alternatives were evaluated: adding a second cashier, introducing a self-ordering kiosk, and prioritising pre-orders. Adding a second cashier could reduce average waiting time to below two minutes, decrease the average queue length to fewer than one customer, and lower cashier utilisation to approximately 49%. The kiosk scenario also demonstrated potential for improving service performance. These findings identify additional cashier capacity as the most effective intervention. The study recommends deploying a second cashier during peak hours and considering self-ordering technology as a longer-term solution. Overall, simulation supports evidence-based decisions to reduce congestion, improve service capacity, and enhance customer experience.

Keywords: *Arena simulation, Cashier utilisation, Queue management, Service efficiency, Waiting time*

Gen Z Workplace Expectations in Sri Lanka: A Gap Analysis of Gen Z Expectations and Professionals' Perceptions

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Generation Z (Gen Z), commonly defined as people born between 1997 and 2012, is an important part of Sri Lanka's workforce. Understanding its expectations can help organizations attract and retain young talent. This study compares Gen Z's workplace expectations with professionals' perceptions and identifies factors linked to respondents' stated willingness to stay. Primary data were collected through two anonymous online questionnaires involving 73 Gen Z respondents aged 18–29 and 30 professionals who work with or supervise Gen Z employees in Sri Lanka. Percentages and average scores summarized responses, correlation analysis examined associations, and open-ended comments were grouped thematically to compare priorities and explanations. Work-life balance (31.5%) and career growth (27.4%) were the leading reasons Gen Z respondents would stay, while professionals most often identified salary and benefits (73.3%) as important to Gen Z. Learning and development scored 3.96 out of 5 among Gen Z respondents, but only 20% of professionals selected it. Feeling valued had the strongest association with stated intention to stay. These findings reveal a perception gap: professionals may emphasize pay more than Gen Z respondents do and underestimate learning needs, although both groups value work-life balance and supportive culture. Thus, pay alone may not address retention expectations. Sri Lankan organizations should combine fair remuneration with manageable workloads, clear career paths, learning opportunities, supportive managers and regular recognition. As the survey assessed stated intentions rather than actual turnover, organizations should evaluate these actions using employee feedback and retention data.

Keywords: *employee retention, Generation Z, perception gap, Sri Lanka, workplace expectations*

Impact of Digital Transformation on Job Roles of Accounting Professionals: Evidence from Undergraduates in Sri Lanka

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Digital transformation is reshaping accounting through cloud computing, artificial intelligence (AI), big data analytics and blockchain. These technologies automate routine tasks and change accountants' responsibilities and required competencies. However, empirical evidence on these changes in Sri Lanka remains limited. This study examined the impact of digital transformation on the job roles of accounting undergraduates in Sri Lanka, focusing on job relevance, cloud computing, AI and big data analytics, and digital transformation. A quantitative approach was used with the help of a structured questionnaire of five-point Likert scale. Reliability and regression analyses were used to analyze data from accounting undergraduate respondents. The results showed that all four factors had a statistically significant effect on the job role of accounting undergraduates. The findings show that digital technologies influence job relevance, adaptability, decision-making skills and a transition from routine operational to strategic advisory roles. These findings are consistent with the growing importance of automation and digital tools in the accounting profession. The study concludes that accounting undergraduates need to strengthen their digital literacy, data-analysis and technology-related skills to meet changing workplace expectations. Universities and professional bodies should incorporate practical digital accounting training, cloud-based applications and data analytics into educational and professional development programmers. This study contributes empirical evidence to the limited research on digital transformation and accounting-related job roles in Sri Lanka. However, its focus on undergraduates limits the generalization of the findings to all practicing accounting professionals.

Keywords: *Artificial Intelligence, Big Data Analytics, Cloud Computing, Digital Transformation, Job Roles*

Determinants of Data Analytics Adoption among Small and Medium Enterprises in Sri Lanka: An Empirical Investigation of Drivers and Barriers

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Data analytics can significantly improve decision-making, operational efficiency, and competitiveness, yet its adoption among small and medium enterprises (SMEs) in Sri Lanka remains critically low amid resource constraints and economic volatility. Grounded in the Technology-Organisation-Environment (TOE) framework and Diffusion of Innovations (DOI) theory, this study examines the technological, organisational, and environmental determinants of adoption to address a notable context-specific empirical gap. Adopting a positivist philosophy and deductive cross-sectional design, primary data were gathered via a structured questionnaire administered to SME decision-makers using purposive sampling. Hypotheses were tested in Stata using multiple linear regression with Huber-White robust standard errors. The empirical results reveal that environmental, technological, and organisational contexts are positively and significantly associated with analytics adoption. Environmental factors exert the strongest influence, followed by technological and organisational dimensions. Top management support and perceived relative advantage serve as primary facilitators, whereas technological complexity, skill deficits, and infrastructure constraints hinder implementation. Notably, contrasting with conventional TOE literature that categorises environmental turbulence purely as a barrier, macroeconomic volatility stimulated SMEs to adopt analytics as an adaptive decision-making mechanism. The study concludes that sustainable adoption requires intuitive, compatible solutions, active executive commitment, workforce upskilling, and supportive digital infrastructure. These findings offer practical implications for SME leaders and policymakers formulating targeted strategies to advance data-driven capabilities across developing economies.

Keywords: *Data Analytics Adoption, Diffusion Of Innovations, Small And Medium Enterprises, Technology-Organisation-Environment Framework*

The Impact of Generative AI Tool Usage on Operational Effectiveness of Accounting-Based BPO Companies Sri Lanka: The Moderating Role of Organizational AI Adaptation Readiness

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Generative Artificial Intelligence (GenAI) tools are rapidly entering accounting-based Business Process Outsourcing (BPO) work, yet prior research has focused largely on Robotic Process Automation and AI broadly, and no quantitative study has examined GenAI tools specifically in accounting BPO companies or tested whether organizational readiness conditions their benefits. This study examines the impact of GenAI tool usage on the operational effectiveness of accounting-based BPO companies in Sri Lanka and the moderating role of organizational AI adoption readiness. Grounded in the Technology Acceptance Model, the Resource-Based View and Digital Transformation Readiness Theory, the study adopted a quantitative, deductive approach. A structured five-point Likert-scale questionnaire was administered to first line and middle-management employees through purposive sampling, suited to reaching employees with direct GenAI experience, yielding 211 valid responses. Data were analysed using reliability and validity tests, Pearson correlation, simple linear regression and hierarchical moderated regression with simple slope analysis. GenAI tool usage had a significant positive effect on operational effectiveness ($\beta = .559$, $R^2 = .313$, $p < .001$), consistent with earlier evidence that AI-enabled automation improves efficiency and accuracy in BPO settings. Organizational AI adoption readiness significantly strengthened this relationship ($\Delta R^2 = .049$, $p < .001$), with the effect nearly tripling between low- and high-readiness organizations, extending prior readiness studies that had not tested a moderating role. The study concludes that the operational value of GenAI depends as much on organizational readiness as on the technology itself, guiding accounting BPO managers, technology vendors, professional bodies and policymakers to invest in readiness alongside tool adoption.

Keywords: *Accounting BPO, Generative AI, Operational Effectiveness, Organizational AI Adoption Readiness, Sri Lanka*

An Investigation into the Barriers to Quitting Alcohol Consumption among Adults: A Descriptive Analysis

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Although awareness of the harms of alcohol is high, it is still a major public health and social problem, particularly when individuals continue drinking despite being aware of its harmful effects. This study explores psychological, social and environmental factors that hinder adults from quitting alcohol and examines reported alcohol availability, knowledge of alcohol risks and support received. This study used a quantitative, cross-sectional descriptive design. Primary data was obtained via structured questionnaire among 120 adults aged 21-50 years old, while secondary data were obtained from literature sources and public health reports. Frequency distribution, percentage analysis, cross tabulation and visualization techniques were performed using Microsoft Excel and Power BI software. The results reveal that 78.33% of participants indicated that they drink alcohol either daily or weekly, whereas 95% selected the highest score for availability of alcohol. Though 80.83% of participants indicated that they have enough knowledge about health risks associated with alcohol consumption and 73.33% of participants had received advised quitting, continued alcohol consumption remained evident. Furthermore, 53.33% of participants experience some kind of difficulty due to stress or emotional issues and 55% reported some difficulty in social situations. These results are in line with the previous research which emphasizes the importance of stress and coping, social influence, availability and social support in relation to alcohol consumption and recovery process. Overall, it appears that in addition to awareness and advice, quitting alcohol might require more integrated psychological, social and environmental support.

Keywords: *Alcohol Cessation, Alcohol Consumption, Environmental Barriers, Social Barriers*

Data-Driven Strategies to Enhance Consumer Purchase Intention for a Fast-Moving Consumer Brand in Sri Lanka

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Intense competition in Sri Lanka's biscuit market requires brands to understand consumer preferences and strengthen market positioning. This study examines factors influencing consumer purchase intention towards a fast-moving consumer brand's chocolate cream biscuits and develops data-driven strategies to improve competitiveness. The objectives were to evaluate brand trust, brand awareness, product availability, product quality perception, and price sensitivity, identify performance gaps, and recommend strategic improvements. Primary data were collected through consumer survey responses and retail audits to assess consumer perceptions, purchasing behavior, and product availability. Secondary data were obtained from industry reports, market research publications, and competitor price comparisons. Descriptive analysis and interactive Power BI dashboards were used to identify trends, evaluate key performance indicators, and support evidence-based decision-making. Findings revealed significant challenges, including a negative Net Promoter Score of -57.14, a brand trust rating of 2.80 out of 5, an availability rating of 2.64 out of 5, and a product quality rating of 3.18 out of 5. Furthermore, 73.5% of consumers demonstrated price sensitivity, while the retail audit indicated a distribution rate of only 33%. These findings highlight weaknesses in consumer advocacy, accessibility, and perceived value. The study recommends strengthening digital brand awareness through consistent social media campaigns, introducing in-store sampling and promotional activities, expanding distribution across urban supermarkets, and implementing targeted price promotions. Television advertising is also proposed to improve quality perceptions and strengthen brand credibility among semi-urban and rural consumers. Overall, integrating consumer analytics with targeted marketing and distribution strategies can improve purchase intention and support sustainable market competitiveness.

Keywords: *Brand awareness, Brand trust, Consumer purchase intention, Marketing analytics, Product availability*

The Gap Between Career Expectations and Employment Outcomes Among Fresh Graduates in Sri Lanka

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The transition from higher education to professional employment often involves a gap between graduates' career expectations and their actual employment outcomes. Understanding this mismatch is important for improving graduate employability, aligning higher education with industry needs and supporting workforce development in Sri Lanka. This study aimed to examine the differences between pre-graduation career expectations and post-graduation employment outcomes among fresh graduates in Sri Lanka, focusing on salary expectations, job relevance, contributing factors and coping strategies. A quantitative, cross-sectional survey was conducted using convenience sampling to collect primary data from 106 fresh graduates from state and private higher education institutions in Sri Lanka who completed their degrees between 2022 to 2025. Descriptive analytics were performed using Microsoft Excel and Power BI. The findings revealed that 47.2% of respondents earned salaries below their expectations, 34.9% received monthly salaries below LKR 50,000 and 52.8% reported underemployment. Lack of practical work experience was the most frequently identified factor contributing to the mismatch, followed by unrealistic experience requirements for entry-level positions. The most common coping strategies were obtaining professional certifications and pursuing further studies, while 50% of graduates were actively planning or strongly considering overseas migration for better career prospects. These findings highlight the need for practical industry exposure, appropriate entry-level recruitment practices, and stronger alignment between higher education and labour market requirements.

Keywords: *Career expectations, Descriptive analytics, Employment mismatch, Fresh graduates, Graduate employability*

Factors Affecting Mental Health and Stress Among Young Adults in Sri Lanka and Their Impact; Descriptive Analytics & Data Management

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Mental health and stress are important concerns among young adults in Sri Lanka, where academic and occupational demands, financial pressures, relationship difficulties and social expectations may affect well-being. This study aimed to identify factors associated with stress and mental health among young adults aged 18–29, examine patterns across socio-demographic and psychosocial factors, and explore coping strategies. A quantitative descriptive design was used. In 2025, primary data were collected from 103 participants, recruited through convenience sampling mainly from the Colombo, Gampaha and Kalutara districts, using a structured, self-administered questionnaire. Responses were summarised using frequencies, percentages and cross-tabulations, while open-ended responses were interpreted thematically. Academic workload, work and study responsibilities, financial concerns, relationship difficulties, and family and social expectations were the main sources of pressure. Average sleep duration was 5.59 hours, and mean life-satisfaction and workplace mood-impact scores were 3.34 and 3.28 respectively. Participants coped by talking with friends or partners, listening to music, engaging in religious or spiritual activities, resting and self-reflecting; some reported withdrawal or avoidance. These patterns are consistent with the literature reviewed, which highlights academic, socioeconomic and sociocultural pressures and the importance of social support. The findings suggest a need for accessible counselling, well-being programmes in educational and workplace settings, and awareness of healthy coping strategies. Further research should include broader, more geographically representative samples. As the study used convenience sampling and self-reported data, its findings should not be generalised to all young adults in Sri Lanka.

Keywords: *Coping strategies, Mental health, Stress, Well-being, Young adults*

Evaluating Checkout Queue Dynamics and Operational Efficiency in Retail Cashier Systems: A Discrete Event Simulation

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Checkout queues strongly influence customer satisfaction and supermarket efficiency. This study examined the cashier system at the CR&FC outlet of a Sri Lankan supermarket chain to identify causes of congestion and evaluate strategies for improving checkout performance. A discrete event simulation model was developed in Rockwell Arena using 120 observed customer transactions collected during peak and non-peak periods. Customer interarrival times followed a Weibull distribution, WEIB (2.48, 0.536), while cashier service times followed a Lognormal distribution, LOGN (0.7381, 0.6849), with fitting errors of 0.00182 and 0.00539 respectively. Model verification and validation involved customer flow checks, extreme condition testing and supervisor assessment, using an error tolerance of ±10%. Three scenarios were compared: the baseline three-lane system, an efficiency scenario with standardised cashier procedures, and a four-lane system under increased demand. Baseline observations showed an average waiting time of 1.74 minutes (peaking at 11.25 minutes) and an average total time in system of 4.39 minutes (peaking at 17.18 minutes). This variability and these delay spikes justified simulation over static averages. The efficiency scenario assumed a 50% increase in cashier service rate, represented by LOGN (0.3690, 0.3424). Sudden arrivals, basket size variations and payment delays contributed to congestion. Standardising cashier procedures substantially reduced average waiting time and queue length without additional infrastructure, strengthening stability before permanent capacity expansion. A staged intervention is recommended: standardise cashier workflows and direct customers to the shortest available queue during routine operations, then open a fourth lane when observed demand confirms a peak surge.

Keywords: *Cashier performance, Discrete event simulation, Operational efficiency, Queue optimization, Retail operations*

The Impact of Infrastructure Disruptions on Students' Academic Performance in Sri Lanka: A Descriptive Analysis

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Infrastructure disruption is a growing concern in higher education, as it can affect students 'learning experiences, academic engagement, and performance. This study aimed to examine the impact of infrastructure disruption on undergraduate students attending state and private universities in Sri Lanka. Specifically, it sought to identify common infrastructure – related issues, evaluate their side effects on students 'academic activities and performance, and recommend strategies to minimize their impact. The study employed a quantitative research approach using primary data collected through a questionnaire from 331 university students. The study used a descriptive analysis using Power BI. The analysis focused on respondents' demographic characteristics, the types of infrastructure disruptions experienced, and the perceived effects of these disruptions on their academic activities and performance. Descriptive statistics were used to summarise response patterns and identify the overall level of academic impact. The finding indicates that infrastructure disruptions that students are frequently facing are, power cuts that the average is 1.75 and connection issues, which has 2.07 average indicating low to moderate impact. Also, disruptions affect their study hours 1.91 as an average and mostly 2nd year male students have a high impact. The analysis also indicated that the average rating for the effect of infrastructure disruptions on academic performance was 2.70 out of 5, suggesting a moderate perceived impact among the respondents. Based on these findings, the study recommends improving online learning facilities, strengthening university infrastructure, refining emergency response plans, and introducing flexible learning arrangements. These measures may help minimise the adverse effects of infrastructure disruptions

Keywords: *Academic performance, Data visualization, Infrastructure disruptions, Power BI, Sri Lanka, University students*

Optimizing railway ticket counter operations using discrete event simulation: The case study of Bambalapitiya Railway Station

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Long queues at railway ticket counters during peak hours cause significant customer dissatisfaction and operational inefficiency. This study analyzed the ticket purchasing process at Bambalapitiya Railway Station. It identified bottlenecks, and evaluated alternative configurations to reduce waiting times. A discrete event simulation (DES) approach was adopted using Rockwell Arena. Primary data was collected through direct observation of 126 customers during peak hours (3:00 PM – 5:00 PM) on weekdays. Service times (mean = 61.7 seconds) and interarrival times (mean = 44.8 seconds) were fitted using Arena's Input Analyzer, with Beta and Gamma distributions providing the best fit (square errors 0.0095 and 0.0039, respectively). The baseline model was verified and validated, with total exits matching 126 customers and utilization of 100%. The observed average waiting time was approximately 18 minutes, while the simulated baseline wait was 545.3 seconds across 10 replications. Analysis revealed a severe bottleneck: traffic intensity $\rho \approx 1.38$, meaning demand structurally exceeds capacity, with customers spending 89% of their time in the system waiting. Four scenarios were tested: adding counters, process improvements, and combined approaches. Process improvement-modelled as halving mean service time through faster systems-was recommended, reducing simulated wait time by 93% (from 545.3 to 35.6 seconds) and utilization from 100% to 68%, without adding staff. The findings demonstrate the effectiveness of DES in identifying bottlenecks and supporting evidence-based decisions in service operations. Railway management can apply these recommendations to enhance customer experience and operational efficiency.

Keywords: *Discrete event simulation, Queueing theory, Railway station, Rockwell Arena, Service operations*

Optimizing Queue Performance in a Fast-Food Outlet: An Arena Simulation Approach

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Long customer queues in fast-food outlets undermine operational efficiency and customer satisfaction. This study identifies major queuing bottlenecks at a fast-moving consumer brand outlet in One Galle Face Mall, Colombo, and evaluates operational strategies to reduce waiting times by assessing system performance, capacity constraints, and potential improvements. A quantitative approach was adopted using Arena simulation software to model customer arrivals, ordering, payment, and food preparation. Primary data were gathered through direct observation on 11 April 2026 during peak hours, capturing 50 initial observations of arrival times, ordering durations, and service times. This dataset was expanded to 150 observations using data generation techniques. The Arena Input Analyzer identified appropriate statistical distributions, and the model was verified and validated against observed system behavior to evaluate baseline performance against alternative scenarios. The findings revealed that customer waiting times reached approximately 10 minutes, with 123 customers served during the simulation period. Kitchen preparation emerged as the principal bottleneck, alongside congestion caused by uneven demand across ordering channels. Scenario analysis demonstrated that increasing kitchen capacity yielded the most substantial improvements, while adding a cashier and enhancing digital ordering accessibility provided moderate benefits. The study recommends expanding kitchen staffing or equipment capacity, introducing an extra cashier, and improving the placement and usability of digital ordering kiosks and order-ready display boards. Implementing these measures can effectively reduce waiting times, elevate customer satisfaction, and enhance overall operational efficiency during peak demand periods.

Keywords: *Arena simulation, Bottleneck analysis, Queue simulation, Service efficiency, Waiting time*

Brand health audit of Dash Gliz dishwashing liquid: A data-driven approach to consumer insights and market positioning

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This study addresses the lack of comprehensive brand health assessment for Dash Gliz, a locally manufactured eco-friendly dishwashing liquid by Multichemi International Ltd, operating in a market dominated by established multinational brands. The research aimed to evaluate brand awareness, purchase behavior, consumer preferences, and retail visibility to develop data-driven recommendations for improved market positioning. A mixed-method approach was employed, integrating retail audits across six Colombo-area supermarkets, a structured consumer survey yielding 88 valid responses, and a focus group discussion for qualitative depth. Data were analyzed using descriptive statistics, text mining, and Power BI visualizations. Findings revealed that while 44% of respondents were aware of Dash Gliz, unprompted brand recall remained significantly lower than market leaders. Consumers prioritized oil removal and price over eco-friendliness, though sustainability remained a secondary differentiator. Retail audits indicated Dash Gliz occupied smaller shelf space and lower facing counts than competitors, with promotional coverage in only 33% of stores compared to 67% for competitors. The study concludes that targeted digital engagement, improved shelf positioning, and expanded promotional activities are critical for brand growth. These findings align with previous research emphasizing the role of visibility and value perception in FMCG brand success. Practical implications include actionable strategies for small and medium enterprises seeking to compete with established brands through data-driven decision-making.

Keywords: *Brand health, Consumer insights, Data analytics FMCG, Marketing analytics*

Panel IX: Contemporary Issues in Accounting

Misclassification of Leased-Out Properties as Right-of-Use Assets: Ensuring Accurate Financial Reporting under SLFRS 16 and LKAS 40

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This study examines a contemporary accounting issue identified during professional training at an audit firm in Sri Lanka: the misclassification of leased-out properties as right-of-use assets. The audited entity leased properties under SLFRS 16: Leases and sublet them to its branches to earn rental income. Since these properties were held to generate rental income rather than for the entity's own use, they meet the definition of investment property under LKAS 40: Investment Property. The entity nevertheless classified them as right-of-use assets under the SLFRS 16 cost model, continued to charge depreciation (amortisation), and did not apply the fair value model it had adopted. The issue is significant because it leads to unnecessary depreciation charges, understatement of profit, and carrying amounts that do not reflect current market values. Fair value gains and losses were also not recognised, contrary to LKAS 40 and SLFRS 13: Fair Value Measurement, which increases the risk of material misstatement under SLAuS 540. These errors reduce the reliability and comparability of financial statements and distort the performance indicators on which stakeholders base their decisions. It is recommended that the entity reclassify such properties as investment property, cease depreciation, and recognise fair value changes in profit or loss at each reporting date, supported by periodic independent valuations. Strengthening the initial lease classification assessment and related internal controls will help ensure that assets are correctly identified and measured, improving the quality, transparency and credibility of financial reporting.

Keywords: *fair value model, financial reporting quality, Investment property, LKAS 40, right-of-use assets, SLFRS 16*

Ensuring Accurate Vendor Payments through Proper Validation of Vendor Bank Details in Accounts Payable

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Accurate vendor master data is central to the Accounts Payable process, since it ensures that payments reach the correct supplier accounts. The issue addressed is the processing of payments using outdated or incorrect vendor bank details, which arises when changes in the supplier invoice are not updated in the SAP vendor master data. It stems from weak communication between the vendor, the vendor master team and the Accounts Payable team, the absence of validation between invoice bank details and system master data, and weak internal controls over vendor master updates. The issue can be identified during the quality checking process, and its financial implications are assessed under the Conceptual Framework and IAS 1 / LKAS 1. Incorrect payments understate cash and bank balances and give rise to a recoverable amount, which is recognised as a receivable until recovered and written off to the Statement of Profit or Loss if it cannot be recovered. This exposes the company to operational and fraud risks, cash misallocation, settlement delays and difficulties in vendor reconciliation. The accounting treatment is presented through the initial entry and the rectification entry upon recovery. Recommended measures include stronger vendor master update controls, validation of bank details during quality checking, SAP payment blocks, segregation of duties, a formal vendor confirmation process, and audit trails with periodic monitoring. These measures strengthen internal controls in Accounts Payable and safeguard financial resources and the reliability of financial reporting.

Keywords: *Accounts Payable, IAS 1 / LKAS 1, Incorrect Payments, Internal Controls, SAP, Vendor Bank Details, Vendor Master Data*

Foreign Currency Accounting under LKAS 21 in Accounts Payable: Gaps and Recommended Improvements; Evidence from a Business Process Management Organization

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Companies that process vendor invoices in several currencies must recognize, revalue and settle foreign currency transactions in line with LKAS 21 (The Effects of Changes in Foreign Exchange Rates). In practice, however, shared service environments can depart from the standard. This paper examines how foreign currency vendor transactions were recorded, revalued and cleared in the Accounts Payable process of a global business process management organization, and the effects on financial reporting. In terms of research methodology, the paper adopts a qualitative, single-case approach based on direct observation during an internship in Accounts Payable. Practices in invoice processing, month-end closing and payment clearing in SAP were compared with the recognition, revaluation and settlement requirements of LKAS 21 to identify gaps, assess their implications and develop recommendations. The findings reveal three gaps. Foreign currency invoices were often recorded at outdated exchange rates rather than the transaction-date spot rate. Open foreign payables were not systematically revalued at the closing rate, or exchange differences were deferred instead of being recognized immediately in profit or loss. In cross-currency clearing, realized exchange gains or losses were conflated with bank conversion fees. These gaps can misstate liabilities, distort profitability, create unreconciled ledger variances and raise audit risk under LKAS 21 and LKAS 8. The paper recommends automated spot rate integration, automated period-end revaluation, standardized multi-currency clearing protocols and technical workshops for Accounts Payable teams. The study offers practical insights for finance teams, shared service centers and auditors.

Keywords: *accounts payable, exchange differences, financial reporting, foreign currency transactions, LKAS 21*

Absence of an Expected Credit Loss Provisioning Methodology for Trade Debtors: Ensuring Accurate Financial Reporting under SLFRS 9

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This study explores a contemporary accounting issue identified during professional training at a leading audit firm in Sri Lanka: the absence of a formal expected credit loss (ECL) provisioning methodology for trade debtors. Bad debts are written off on a case-by-case basis, only when recovery is considered remote, rather than being provided for on an expected loss basis. This practice does not comply with SLFRS 9: Financial Instruments, which requires the simplified approach for trade receivables, recognizing lifetime expected credit losses from initial recognition through a provision matrix. It also results in inadequate credit risk disclosures required by SLFRS 7: Financial Instruments: Disclosures. The issue is significant as it directly affects the reliability and accuracy of financial statements, which form the basis for managerial, lender and investor decision-making. In the case examined, 32% of gross trade debtors (LKR 24.6 million) were overdue by more than 90 days, and an estimated ECL allowance of LKR 10.69 million, about 14% of gross debtors, remained unrecorded. This results in overstated profit, receivables and working capital, a misleading impression of liquidity, and an increased risk of a qualified audit opinion or management letter points. It is recommended that the organization adopt a board-approved provision matrix segmented by ageing and customer risk, review the ECL allowance quarterly with forward-looking macroeconomic adjustments, strengthen collections follow-up before balances roll into the 90+ day bucket, and update SLFRS 7 disclosures. These measures improve financial reporting quality, transparency and stakeholder confidence.

Keywords: *Expected Credit Loss, Financial Reporting Quality, Provision Matrix, SLFRS 9, Trade Receivables*

Incorrect Lease Term Used in Measuring Lease Liability Under SLFRS 16

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This paper examines an accounting issue identified during professional practice at an Insurance Brokers, relating to the incorrect lease term used in measuring a lease liability under SLFRS 16 – Leases. The issue was identified while reviewing year-end audit schedules for a leased office building. Although the contractual lease period was 60 months, the building became available for use on 1 January 2022, leaving 57 months until the contractual expiry date of 30 September 2026. However, the original 60-month period had been used in calculating the lease liability. The analysis demonstrates how an incorrect lease period can result in the overstatement of lease liabilities and potentially affect the measurement of the corresponding right-of-use (ROU) asset, subsequent depreciation and finance costs. Based on illustrative financial figures, the error resulted in an estimated lease liability overstatement of LKR 3.59 million. The issue highlights the importance of accurate lease-term determination, effective supervisory review and compliance with applicable accounting requirements. It is recommended that organizations verify lease calculations against underlying agreements, maintain a centralized lease register, implement independent review procedures and provide appropriate training to finance staff. These measures can strengthen internal controls and improve the accuracy and reliability of financial reporting.

Keywords: *Financial Reporting, Internal Controls, Lease Liability, Lease Term, Right-of-Use Asset, SLFRS 16*

Ensuring Reliable Fair Value Measurement of Investment Property: An Audit Perspective

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This paper examines a contemporary accounting issue identified during professional training at an audit firm in Sri Lanka concerning the appropriateness of fair value measurement of investment property. The issue arose when the valuation method applied by an external valuer for a commercial building was considered inappropriate by the audit team, despite the availability of reliable market rental rates and yield information. The assessment was conducted with reference to LKAS 40: Investment Property and SLFRS 13: Fair Value Measurement. The audit assessment considered physical condition, remaining economic life, income-generating potential, and availability of market information for two properties. While the depreciated replacement cost (DRC) method was considered appropriate for an older building with a limited remaining economic life and insufficient rental information, the investment method was considered more appropriate for the main commercial building. The reassessment identified a valuation difference, resulting in an adjustment to the financial statements. If left uncorrected, the inappropriate valuation would have overstated investment property, the fair value gain recognized in profit or loss, and the company's equity. Such misstatements could reduce the reliability of financial reporting and adversely influence stakeholders' decisions. The paper recommends that management and auditors evaluate the suitability of valuation methods for each property, critically review external valuers' assumptions, and support valuations with reliable market rental rates and yield information where appropriate. These measures can improve the accuracy of fair value measurement, strengthen financial reporting reliability, and support informed stakeholder decision-making.

Keywords: *Depreciated Replacement Cost, Fair Value Measurement, Investment Method, Investment Property, LKAS 40, SLFRS 13*

Late VAT Tax Invoices and the Integrity of Financial Reporting

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Late receipt of vendor VAT tax invoices after VAT schedules have been prepared or submitted is a contemporary issue identified during professional accounting training. Goods or services may be received in one accounting period while the supporting tax invoice arrives in another. Recording the transaction only upon invoice receipt may breach the accrual principle in LKAS 1 (Presentation of Financial Statements); where material errors relating to earlier reporting periods arise, LKAS 8 (Accounting Policies, Changes in Accounting Estimates and Errors) may also apply. Input VAT claims must separately meet the documentation and eligibility requirements of Sri Lanka's Value Added Tax Act No. 14 of 2002, as amended. This timing mismatch can understate expenses and payables, overstate monthly profit and distort comparisons used for management decisions. It can also create differences between VAT control accounts and submitted schedules, delay eligible input VAT claims and increase the risk of omitted, duplicated or unsupported claims. The result is weaker financial statement reliability, less effective tax compliance and reduced confidence in information used by management and other stakeholders. A practical solution is to separate accounting recognition from VAT recovery. Costs for goods and services received should be accrued in the correct reporting period using available evidence, while input VAT should be processed only after verifying the valid tax invoice and applicable conditions. A register of pending invoices, supplier follow up deadlines, matching invoices against recorded accruals, clear closing procedures and documented VAT reconciliations before and after submission would strengthen the audit trail. This approach improves reporting accuracy, tax control and stakeholder confidence.

Keywords: *accrual accounting, input VAT, LKAS 1, reporting accuracy, VAT invoices*

Ensuring Accurate Payroll Processing through Effective Candidate Identification and Internal Controls

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This study examines a payroll issue identified during professional training at a leading Sri Lankan organisation: incorrect payments caused by errors in candidate identification and timesheet allocation. During the internship, approximately AUD 4,500 was wrongly paid to three former candidates because time sheets were allocated to the wrong Job Orders based on identical first names, without verifying surnames, candidate IDs, employment status, or other identifying details. This compromised the accuracy of payroll processing and the reliability of payroll-related financial records. The error overstated payroll expenses and understated profit before tax by approximately AUD 4,500, while reducing cash and cash equivalents and creating a receivable from the former candidates until recovery. Such errors distort the Statement of Profit or Loss and the Statement of Financial Position, weaken stakeholder confidence, and may delay payments to active candidates. The issue also highlights the need for effective internal controls consistent with the accrual basis under LKAS 1: Presentation of Financial Statements, which requires accurate recognition of expenses, assets, and liabilities. Under LKAS 19: Employee Benefits, wages and salaries are recognized as an expense when employees render service. The study recommends that the organization verify unique candidate IDs, full names, Job Order numbers, and employment status before processing payments; strengthen independent timesheet verification; introduce system-based validation controls for inactive candidates; maintain updated candidate records; conduct a final pre-payment review; monitor payroll discrepancies and recoveries; and provide regular payroll training. Implementing these measures would strengthen internal controls, improve payroll accuracy, and reduce the risk of financial misstatement and incorrect payments.

Keywords: *candidate identification, financial reporting, internal controls, LKAS 1, LKAS 19, Payroll accuracy, timesheet verification*

Ensuring Reliable Financial Reporting through Fair Value Recognition of Free-of-Charge Property, Plant and Equipment

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This study explores a contemporary accounting issue identified during professional training at a leading audit firm in Sri Lanka. The recording of property, plant and equipment received free of charge at a nominal value. During a review of a client entity's Fixed Asset Register, office equipment received free of charge from a group company were recorded at a nominal acquisition cost of Rs.1, as the accounting system required a value for every asset and no procedure existed for valuing such assets. This practice is inconsistent with LKAS 16: Property, Plant and Equipment, which requires items meeting the recognition criteria (paragraph 7) to be measured at cost (paragraph 15) and depreciated systematically over their useful lives (paragraph 50). As no cost is incurred for free-of-charge assets, they should be measured at fair value at the date of receipt. The issue is significant as it results in the understatement of property, plant and equipment, total assets and equity, and the understatement of depreciation expense, leading to overstated profits. Consequently, the financial statements fail to faithfully represent the resources controlled by the entity and the true cost of its operations, which may mislead investors, lenders and management in their decision-making. The issue also reflects a weakness in internal controls over fixed asset recording. It is recommended that the entity determine the fair value of such assets at the date of receipt, recognize the corresponding contribution in a capital contribution reserve and review useful lives at least annually as required by paragraph 51 of LKAS 16. Further, establishing a formal procedure for valuing free-of-charge assets and periodically reviewing the Fixed Asset Register will improve compliance with LKAS 16 and enhance the reliability of financial reporting.

Keywords: *Fair value, financial reporting quality, free-of-charge assets, LKAS 16, property, plant and equipment*

Ensuring True and Fair Financial Reporting through Proper Recognition of Foreign Exchange Gains and Losses

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This study explores a contemporary accounting issue identified during professional training at a Business Process Management firm in Sri Lanka: the improper recognition of foreign exchange gains and losses. The firm's group entities operate in several functional currencies and transact across multiple currencies and bank accounts. Foreign currency bills were closed in the accounting system at the payment date without separately recognizing the exchange difference arising between the transaction date and the settlement date, and exchange variances on intercompany balances were left to accumulate month after month. This practice contravenes LKAS 21: The Effects of Changes in Foreign Exchange Rates, which requires monetary items to be translated at the closing rate and exchange differences to be recognized in profit or loss in the period in which they arise. Reconciliations of intercompany balances showed exchange variances that increased progressively each month, indicating a growing misstatement in the reported results. The issue is significant because it leads to the overstatement or understatement of profit, the misstatement of foreign currency receivables, payables, bank balances and intercompany balances, and distorted cash flow forecasts. It also increases the risk of audit qualifications and weakens the true and fair view on which investors, auditors and management rely for decision-making. It is recommended that the entity record exchange gains and losses on settlement of receivables and payables, retranslate foreign currency monetary items at the closing rate at each reporting date, and post a structured month-end adjustment for intercompany balances, supported by clear accounting policies and review controls. Adopting these practices will improve compliance, transparency and stakeholder confidence in financial reporting.

Keywords: *Financial Reporting Quality, Foreign Exchange Gains and Losses, Intercompany Balances, LKAS 21, Transparency*

Panel X: Multidisciplinary Approaches

The Impact of Accounting Information System on Organizational Performance: Evidence from Food Manufacturing Small and Medium Enterprises in Colombo District Sri Lanka

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The adoption of Accounting Information Systems (AIS) has become increasingly important for modern organizations seeking to enhance efficiency, improve decision-making processes, and achieve better organizational outcomes. In the highly competitive food manufacturing sector, particularly among Small and Medium Enterprises (SMEs), the effective use of AIS can contribute significantly to operational effectiveness and overall business performance. Therefore, this study aims to examine the impact of Accounting Information Systems on Organizational Performance, Operational Efficiency, Decision-Making Efficiency, and Firm Performance among food manufacturing SMEs in the Colombo District of Sri Lanka. This study adopted a quantitative research approach and collected primary data through a structured questionnaire from 100 employees and management personnel of food manufacturing SMEs in the Colombo District. The data were analyzed using SPSS software. The findings indicate that AIS have a significant positive impact on Organizational Performance, Operational Efficiency, Decision-Making Efficiency, and Financial Performance. Effective AIS implementation improves information quality, enhances operational processes, supports informed decision-making, and contributes to overall organizational success. Among these factors, Decision-Making Efficiency showed the strongest relationship with AIS. This study contributes to the existing body of knowledge by providing empirical evidence on the impact of AIS within the context of food manufacturing SMEs in Sri Lanka. Furthermore, the findings offer practical implications for business owners, managers, policymakers, and software developers by emphasizing the importance of investing in effective AIS to enhance organizational performance and maintain long-term business success.

Keywords: *Accounting Information System (AIS), Decision-Making Efficiency, Firm Performance, Food Manufacturing SMEs, Operational Efficiency, Organizational Performance*

Impact of Work-life Balance on the Professional Development of Chartered Accountants in Sri Lanka: The Mediating Role of Psychological Well-being

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The demanding nature of the accounting profession often intersects work and family life, making work-life balance and psychological well-being crucial for continuous professional development because of its high level of responsibility, workload pressure, and ongoing skill enhancement to ensure the maintenance of not only the technical competencies but also the ethical and strategic capabilities required to provide value to organizations and stakeholders. This study examines the impact of work-life balance on the professional development of chartered accountants in Sri Lanka, with psychological well-being as the mediator. Adopting a positivist research philosophy and a deductive approach, the study used a quantitative, cross-sectional design. Primary data were collected through a structured questionnaire using a five-point Likert scale from a total of 284 qualified chartered accountants in Sri Lanka. The data were analyzed using SPSS and smart PLS. The study provides evidence of positive relationships between work-life balance and psychological well-being, and professional development. More importantly, the findings further indicate that psychological well-being fully mediates the relationship between work-life balance and professional development. Therefore, work-life balance is positively associated with psychological well-being, which in turn fosters Sri Lankan Chartered accountants' ability to engage in professional development. Based on the findings, the study provides practical implications for organizations employing qualified accountants, emphasizing the need for supportive workplace policies, effective and manageable workload systems, and initiatives that promote psychological well-being.

Keywords: *Chartered Accountant, Continuous professional development, Psychological well-being, Work-Life Balance*

Role Conflict, Role Ambiguity and Employee Job Performance: The Mediating Role of Job Satisfaction in Sri Lankan Licensed Commercial Banks

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Employee performance is critical in Sri Lanka's highly regulated banking sector, where competing demands and unclear responsibilities may undermine employees' work outcomes. However, empirical evidence on how role-related stressors influence performance through job satisfaction remains limited in this context. This study examined the effects of role conflict and role ambiguity on employee job performance and assessed the mediating role of job satisfaction among employees of Licensed Commercial Banks in Sri Lanka. Guided by a positivist philosophy and deductive approach, the study adopted a quantitative, cross-sectional survey design. Data were collected through a structured questionnaire using a five-point Likert scale, yielding 114 valid responses through non-probability convenience sampling. Data were analysed in Stata using regression and mediation analysis, with heteroskedasticity-robust standard errors and 5,000 bootstrap replications. Both role conflict and role ambiguity were significantly and negatively associated with employee job performance and job satisfaction, whereas job satisfaction was positively associated with performance. The full model explained 57.06% of the variance in employee job performance. Bias-corrected bootstrap confidence intervals supported indirect effects through job satisfaction for both role stressors. The findings align with prior research linking role-related stressors to unfavourable employee outcomes and extend this evidence to Sri Lankan banking by examining job satisfaction as a mediating mechanism. Practically, banks should clarify role expectations, improve communication and align responsibilities to support employee satisfaction and performance.

Keywords: *Employee job performance, Job satisfaction, Licensed commercial banks, Role ambiguity, Role conflict*

The Impact of Marketing Strategies on Financial Performance: A Study of Listed Hotels in Sri Lanka

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Despite growing capital allocations toward marketing within Sri Lanka's hospitality sector, there remains a critical lack of empirical evidence detailing which specific strategies yield the strongest financial returns for publicly listed hotels. This study investigates the individual and combined impacts of digital marketing, pricing strategies, and promotional activities on the financial performance of these listed entities. Adopting a quantitative, deductive approach, primary data were collected through a structured questionnaire administered to 129 marketing and finance professionals across twelve hotel companies listed on the Colombo Stock Exchange. The data were analyzed using IBM SPSS Statistics, employing multiple regression and one-way ANOVA techniques. The results indicate that pricing strategy has a statistically significant independent positive impact on financial performance, making it the most reliable standalone predictor. Conversely, digital marketing and promotional activities did not achieve statistical significance individually, although the overall integrated marketing strategy model proved significant in driving firm-level financial success. Furthermore, a one-way ANOVA confirmed that financial performance perceptions differ substantially by hotel star classification, with the most significant performance concentrations residing within the five-star luxury segment. In conclusion, while holistic marketing capabilities generate sustained financial advantage, hotel executives in developing economies should prioritize dynamic pricing and yield management investments, particularly as digital presence has transitioned into a standard operational baseline rather than a unique competitive differentiator.

Keywords: *Digital Marketing, Financial Performance, Listed Hotels, Marketing Strategies, Pricing Strategy*

Factors Impacting for Career Path Choice of Accounting Students in Sri Lanka with Special Reference to Colombo District

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~~Accounting is one of the most popular career fields in Sri Lanka. Accounting remains a critical pillar of business and economic development, offering diverse professional opportunities. Many accounting students are still unsure about their future career path choices, despite Sri Lanka's growing need for qualified accountants. However, many students raising questions about the factors shaping their career intentions. This uncertainty represents a gap between the growing demand for qualified accounting professionals and students' ability to make informed career decisions. This study therefore examines the factors impacting the career path choices of accounting students in Sri Lanka, with special reference to the Colombo District. Guided by Social Cognitive Career Theory, the study set out to examine the impact of five factors, namely intrinsic motivation, extrinsic motivation, third-party influence, career exposure and social media influence on career path choice. The study used a quantitative design with a positivist philosophy and deductive approach. Primary data were collected through a structured questionnaire distributed to 150 final year accounting undergraduates from five state and private universities in the Colombo District, selected using convenience sampling. The data were analysed using descriptive statistics, reliability analysis, correlation analysis, simple and multiple regression analysis through STATA. The findings revealed that all five factors were significantly related to career path choice individually. In contrast, intrinsic motivation and third-party influence were not statistical significance. However, the overall model was statistically significant. This study contributes to enhancing the sustainability of the accounting profession and new empirical evidence from the Sri Lankan context, particularly on the previously under examined role of social media, and extends SSCT by demonstrating overlapping relationships among personal, social, environmental career choice factors. The findings offer practical guidance for universities, professional accounting bodies and employers seeking to support accounting students in making clearer, better informed career path choices.~~

Accounting is one of the most popular career fields in Sri Lanka and remains a critical pillar of business and economic development. Despite the country's growing need for qualified accountants, many accounting students are still unsure about their career paths. This uncertainty reflects a gap between rising demand for accounting professionals and students' ability to make informed career decisions. This study therefore examines the factors influencing the career path choices of accounting students in Sri Lanka, with special reference to the Colombo District. Guided by Social Cognitive Career Theory (SCCT), the study examined the impact of five factors: intrinsic motivation, extrinsic motivation, third-party influence, career exposure and social media influence. It adopted a quantitative design with a positivist philosophy and a deductive approach. Primary data were collected through a structured questionnaire distributed to 150 final year accounting undergraduates from five state and private universities in the Colombo District, selected through convenience sampling. The data were analysed using descriptive statistics, reliability analysis, correlation analysis, and simple and multiple regression in STATA. The findings revealed that all five factors were significantly related to career path choice individually. In the multiple regression, however, intrinsic motivation and third-party influence were not statistically significant, although the overall model was statistically significant. The study contributes new empirical evidence from the Sri Lankan context, particularly on the previously under-examined role of social media. It also extends SCCT by demonstrating overlapping relationships among personal, social and environmental career choice factors, and it supports the sustainability of the accounting profession. The findings offer practical guidance for universities, professional accounting bodies and employers seeking to help students make clearer, better informed career path choices.

Keywords: *Career development, Career Exposure, Career Path Choice, Social Cognitive Career Theory, Social Media Influence*

The impact of social media influence on herding behavior: the mediating role of Fear of Missing Out (FOMO) among retail investors of the Colombo Stock Exchange in Sri Lanka

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The growing prominence of social media has fundamentally transformed the way retail investors access financial information, interact with other market participants, and make investment decisions. Although social media facilitates timely access to market-related information, its influence may also contribute to irrational investment behaviors, particularly herding behavior. In this context, Fear of Missing Out (FOMO) has emerged as a relevant psychological mechanism that may explain the influence of social media on investors' behavioral responses. However, empirical evidence regarding the mediating role of FOMO in the relationship between social media influence and herding behavior remains limited, particularly within the context of the Colombo Stock Exchange in Sri Lanka. Accordingly, this study aims to examine the effect of social media influence on herding behavior and investigate the mediating role of FOMO among retail investors of the Colombo Stock Exchange. The study employed a positivist research philosophy, deductive approach, and quantitative research methodology, with primary data collected through a structured questionnaire and analysed using SmartPLS. The study contributes to the behavioral finance literature by providing empirical insights into the interplay between social media influence, psychological factors, and herding behavior within the Sri Lankan investment context. The findings indicated significant positive relationships between Social Media Influence and FOMO, FOMO and Herding Behaviour, and Social Media Influence and Herding Behaviour. FOMO also significantly mediated the relationship between Social Media Influence and Herding Behaviour.

Keywords: *Behavioral Finance, Colombo Stock Exchange, Fear of Missing Out (FOMO), Herding Behavior, Retail Investors, SmartPLS, Social Media Influence*

Impact of Employability Skills on Career Adaptability of Accounting Graduates in Western Province of Sri Lanka

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As the global business environment becomes more complex, accounting graduates are expected to possess not only technical accounting knowledge but also a broad range of employability skills. Although employability skills and career adaptability have been widely examined separately, limited empirical research has investigated the relationship between them among accounting graduates in the Western Province of Sri Lanka. This study therefore examined the relationship between employability skills and the career adaptability of these graduates, drawing on Career Construction Theory. A quantitative survey design was adopted, based on a positivist philosophy and a deductive approach. Data were collected through a structured questionnaire from accounting graduates employed or studying in the Western Province, selected. A total of 102 valid responses were analysed using SPSS, with reliability and validity assessed through Cronbach's alpha and validity tests. Each of the five employability skills had a statistically significant positive relationship with career adaptability when examined. In the multiple regression analysis, employability skills collectively explained 72.1% of the variation in career adaptability ($R^2 = 0.721$). The findings suggest that stronger employability skills are associated with greater career adaptability, so universities and employers may consider embedding these skills in accounting curricula and graduate development. However, the survey-based, self-reported data and limit generalisability, and causal conclusions cannot be drawn.

Keywords: *Accounting Graduates, Career Adaptability, Employability Skills, Teamwork Skills, Technology Skills*

The impact of entrepreneurship education on entrepreneurial intention: with special reference to accounting undergraduates in Sri Lanka

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Entrepreneurship education (EE) promotes entrepreneurial intention (EI) and helps address graduate unemployment, yet its specific impact on Sri Lankan accounting undergraduates remains underexplored. The study examined the effect of institutional support (IS), teaching methods and approaches (TMA), curriculum content (CC) and skill development (SD), and internship exposure (INE) on the EI of accounting undergraduates. The study adopted a quantitative, explanatory design using a positivist philosophy and deductive approach. Primary data was collected through a structured questionnaire from 244 accounting undergraduates using convenience sampling. Descriptive statistics, Cronbach's alpha, exploratory factor analysis, Pearson correlation analysis, multiple regression analysis and diagnostic tests were performed using Stata. The results indicated that TMA, CC, SD and INE have positive and significant effect on EI. The IS has positive effect but it is not statistically significant. Among the significant predictors of EI, internship exposure was found to be the strongest predictor emphasizing the importance of practical learning experiences. The study supports the Theory of Planned Behaviour and Human Capital Theory in that experiential and competency-based (EE) is more effective in developing EI than IS alone. The empirical evidence from accounting undergraduates in degree awarding institutes in Sri Lanka, which has received little attention from the scholars, contributes to the existing literature in this dissertation. This study contributes to (EE) literature by examining five educational dimensions and provides practical insights for universities, educators, curriculum developers, and policymakers to promote graduate entrepreneurship in Sri Lanka.

Keywords: *Accounting Undergraduates, Entrepreneurial Intention, Entrepreneurship Education*

The impact of emotional intelligence on the academic performance of accounting undergraduates in non-state higher education institutions in Sri Lanka

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The accounting profession increasingly requires communication and teamwork alongside technical competence, yet Sri Lankan research on emotional intelligence (EI) has focused on health-science students in state universities, and international evidence for accounting students is inconsistent. This study examined the impact of EI on the academic performance of accounting undergraduates in non-state higher education institutions (HEIs) in Sri Lanka, assessed EI levels and identified the strongest predictive dimension. A positivist, deductive, cross-sectional survey of 384 accounting undergraduates, selected by purposive sampling, used a structured questionnaire. EI was measured using Goleman's five domains (self-awareness, self-regulation, self-motivation, empathy and social skills) and academic performance by CGPA band. Analysis used descriptive statistics, Spearman correlation and multiple regression, with variance inflation factors and gender × EI interaction terms checking multicollinearity and moderation. All scales were reliable (Cronbach's alpha 0.833–0.961). EI was moderate (mean = 3.30 on a five-point scale). All five dimensions correlated strongly and positively with performance and were significant predictors, jointly explaining 74.8% of its variance ($R^2 = 0.748$). Social skills was the strongest predictor, followed by empathy and self-motivation, while gender moderated the effect of self-awareness. These findings support Goleman's model and contrast with earlier studies reporting no relationship. EI, particularly social skills, is associated with better performance, so non-state HEIs should embed structured EI development, such as teamwork and communication activities, into accounting programmes. Purposive sampling and the cross-sectional design limit generalisability and preclude causal inference; future studies should use probability sampling and longitudinal designs.

Keywords: *Academic performance, Accounting undergraduates, Emotional intelligence, Non-state higher education institutions, Sri Lanka*

The Impact of Internship in Accounting on Subsequent Academic Performance in Sri Lankan Context

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Internships are a crucial steppingstone to future academic achievements and learning experiences for undergraduate accounting students in Sri Lanka. Through this study, I will investigate the extent to which accounting internships impact subsequent academic performance via the below four key internship factors; Internship Marks, Work Environment, Perceived Learning, and Structure of Internship as set by the employer. All research will follow the principles of Experiential Learning Reading, that is, practical experience should help prepare students with important job skills and contribute positively to academic performance. The goal of this research is to identify how or if each of these four internship factors influences the subsequent academic performance of accounting students after they graduate. Another objective for this study was to know how to control the relationship between accounting interns' work (internship sector) by comparing the effect of internship factors between those who completed an audit vs. non-audit internship. I surveyed 253 undergraduate accounting internship participants, using a structured questionnaire that was collected using a quantitative survey method. The population for this study were students attending both state and non-state universities in Sri Lanka. SPSS software was used to assess data; descriptive statistics, reliability analysis, correlation analysis and structural equation modelling analyses were all conducted to determine relationships between variables. Results indicate that all four internship-related variables analyzed have a significant and positive impact on the academic performance of graduate accounting students after finishing their degree. Further, this research will provide evidence to support the need for improved internship programs in accounting to help close the gaps between academic and professional practice in the field through more successful graduates from Sri Lankan based higher education institutions.

Keywords: *Accounting Education, Accounting Internships, Experiential Learning, Internship Marks*

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